

Background to provisional tax [¶22-010]

[¶22-010]

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The concept of provisional tax is based on progress payments of tax being made to Inland Revenue (IR) while income is being derived by the taxpayer during the year and before the final assessment of tax for a particular year is made. The system will affect most taxpayers who derive income other than income from PAYE (wages and salary), resident passive income or non-resident passive income. Generally, the liability to pay provisional tax is determined by calculating the taxpayer's provisional income, which is based on the taxpayer's income tax liability from the previous year.

Taxpayers are required to pay provisional tax when their residual income tax for the previous tax year exceeds \$5,000 (s [RC 3](#)). Provisional tax may also be paid on a voluntary basis under s [RC 4](#).

Provisional tax can be calculated using the standard (uplift) method, estimation method, GST ratio method or accounting income method (AIM) ([¶22-070](#), [¶22-075](#), [¶22-082](#), [¶22-090](#) and [¶22-105](#)).

Provisional tax is payable in instalments. Provisional taxpayers furnish returns of income at the end of the current year and are then subject to an assessment of income tax. The provisional tax paid is credited against the tax assessed, which will either result in a refund of tax already paid or in a further tax liability.

Law: IT07 subpart [RC](#)

Last reviewed on 31 December 2025

Due date for payment of provisional and terminal tax [¶22-012]

[¶22-012]

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The due date for a provisional tax payment depends on the method adopted by the taxpayer. In addition, the number of provisional tax instalments depends on which provisional tax method is used and, if the taxpayer is registered for GST, the GST filing frequency ([¶22-115](#)).

Provisional tax from 2018–19 income year

The due dates for the payment of provisional and terminal tax instalments are set out in the table below (from [Sch 3](#)), which includes instalment dates for taxpayers who adopt the AIM ([¶22-090](#)). Provisional tax is due on the 28th day of the month specified, except for instalments due on 28 December and 28 April, which are due on 15 January and 7 May, respectively, to take into account the Christmas and Easter holiday periods.

Schedule 3 table

With the exception of the final instalment (column F or F1) or, in the case of an AIM taxpayer with a one-month taxable period, the final 2 instalments (columns F and F1), all instalments of provisional tax are due prior to the entity's balance date (although note that the exception for 2 instalments also applies to an AIM taxpayer with an April balance date whose penultimate instalment is due on 7 May). The final instalment, or 2 instalments, as relevant, of provisional tax are due in the months after balance date.

Terminal tax is due in the 11th month following balance date for balance dates between October and March. For balance dates between April and September, terminal tax is due in the month of February following the balance date — refer to column G in the table below.

If taxpayers are linked to a tax agent who have an extension of time arrangement, the due date for terminal tax is extended by 2 months (refer to column H).

The relevant columns in the table below for instalment dates for taxpayers using particular methods, based on their balance dates, are as follows:

- # standard and estimation methods and either not registered for GST or GST-registered with a one- or 2-month taxable period — B, D and F
- # standard and estimation methods and GST-registered with a 6-month taxable period — C and F
- # GST ratio method — A, B, C, D, E and F
- # AIM and either not registered for GST or GST-registered with a 6-month taxable period — A, B, C, D, E and F
- # AIM and GST-registered with a 2-month taxable period — either A, B, C, D, E and F or A1, B1, C1, D1, E1 and F1 (whichever corresponds with the due dates for their GST returns), and
- # AIM and GST-registered with a one-month taxable period — A, A1, B, B1, C, C1, D, D1, E, E1, F and F1.

For further discussion of the relevant instalment dates for particular provisional taxpayers, including those with an initial provisional tax liability and those who change methods, see [¶22-115](#).

For individual tables of instalment dates for each type of provisional taxpayer set out above, see [¶50-020](#).

SCHEDULE 3

PAYMENT OF PROVISIONAL AND TERMINAL TAX

Part A — Dates for payment of provisional tax and terminal tax

Month of balance date	A	A1	B	B1	C	C1	D	D1	E	E1	F	F1	G	H
October	28 Jan	28 Feb	28 Mar	7 May	28 May	28 Jun	28 Jul	28 Aug	28 Sep	28 Oct	28 Nov	15 Jan	Sep	Nov
November	28 Feb	28 Mar	7 May	28 May	28 Jun	28 Jul	28 Aug	28 Sep	28 Oct	28 Nov	15 Jan	28 Jan	Oct	Dec
December	28 Mar	7 May	28 May	28 Jun	28 Jul	28 Aug	28 Sep	28 Oct	28 Nov	15 Jan	28 Jan	28 Feb	Nov	Jan
January	7 May	28 May	28 Jun	28 Jul	28 Aug	28 Sep	28 Oct	28 Nov	15 Jan	28 Jan	28 Feb	28 Mar	Dec	Feb
February	28 May	28 Jun	28 Jul	28 Aug	28 Sep	28 Oct	28 Nov	15 Jan	28 Jan	28 Feb	28 Mar	7 May	Jan	Mar
March	28 Jun	28 Jul	28 Aug	28 Sep	28 Oct	28 Nov	15 Jan	28 Jan	28 Feb	28 Mar	7 May	28 May	Feb	Apr
April	28 Jul	28 Aug	28 Sep	28 Oct	28 Nov	15 Jan	28 Jan	28 Feb	28 Mar	7 May	28 May	28 Jun	Feb	Apr
May	28 Aug	28 Sep	28 Oct	28 Nov	15 Jan	28 Jan	28 Feb	28 Mar	7 May	28 May	28 Jun	28 Jul	Feb	Apr
June	28 Sep	28 Oct	28 Nov	15 Jan	28 Jan	28 Feb	28 Mar	7 May	28 May	28 Jun	28 Jul	28 Aug	Feb	Apr
July	28 Oct	28 Nov	15 Jan	28 Jan	28 Feb	28 Mar	7 May	28 May	28 Jun	28 Jul	28 Aug	28 Sep	Feb	Apr
August	28 Nov	15 Jan	28 Jan	28 Feb	28 Mar	7 May	28 May	28 Jun	28 Jul	28 Aug	28 Sep	28 Oct	Feb	Apr
September	15 Jan	28 Jan	28 Feb	28 Mar	7 May	28 May	28 Jun	28 Jul	28 Aug	28 Sep	28 Oct	28 Nov	Feb	Apr

For the purposes of this schedule, **balance date**, in relation to provisional tax or terminal tax payable by a person for a tax year to which an income year corresponds, means—

- (a) if neither of paragraphs (b) and (c) apply, the person's annual balance date for their accounts for the income year:
- (b) if the person has an income year that coincides with the tax year or is not required to provide a return of income for the tax year, 31 March:
- (c) if the person is a non-resident company that does not have a fixed establishment in New Zealand, 31 March.

Law: IT07 [Sch 3](#)

Last reviewed on 31 December 2025

Provisional tax payment due dates in transitional year [T22-013]

[T22-013]

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Section [YA 1](#) defines “transitional year” in relation to provisional tax as meaning the period for which a person files a return under s [39](#) of the Tax Administration Act 1994 (TAA). In most cases a transitional year will mean a tax year that is not equal to 12 months due to a change in balance date for the taxpayer.

Interim instalments of provisional tax are due on the 28th day of the months set out in the table below (from [Sch 3](#)) except for 15 January and 7 May that replace 28 December and 28 April, respectively.

The last instalment is due on the 28th of the month following the last month in the taxpayer’s transitional year. An exception exists where the last month is November or March, in which case the due date will be 15 January or 7 May, respectively.

Part B — Months for payment under ss RC 9 and RC 22 to RC 25

Monthly and 2-monthly non-ratio and non-GST provisional taxpayers

Transitional year length	New instalment months	
0–4 mths	1	month following final month
5–8 mths	2	5 th month, month following final month
9–12 mths	3	5 th , 9 th months, month following final month
13–16 mths	4	5 th , 9 th , 13 th months, month following final month
17–20 mths	5	5 th , 9 th , 13 th , 17 th months, month following final month
21–24 mths	6	5 th , 9 th , 13 th , 17 th , 21 st months, month following final month

6-monthly non-ratio provisional taxpayers

Transitional year length	New instalment months	
0–6 mths	1	month following final month
7–12 mths	2	7 th month, month following final month
13–18 mths	3	7 th , 13 th months, month following final month
19–24 mths	4	7 th , 13 th , 19 th months, month following final month

GST ratio provisional taxpayers

Transitional year length	New instalment months	
0–2 mths	1	month following final month
3–4 mths	2	3 rd month, month following final month

5–6 mths	3	3 rd , 5 th months, month following final month
7–8 mths	4	3 rd , 5 th , 7 th months, month following final month
9–10 mths	5	3 rd , 5 th , 7 th , 9 th months, month following final month
11–12 mths	6	3 rd , 5 th , 7 th , 9 th , 11 th months, month following final month
13–14 mths	7	3 rd , 5 th , 7 th , 9 th , 11 th , 13 th months, month following final month
15–16 mths	8	3 rd , 5 th , 7 th , 9 th , 11 th , 13 th , 15 th months, month following final month
17–18 mths	9	3 rd , 5 th , 7 th , 9 th , 11 th , 13 th , 15 th , 17 th months, month following final month
19–20 mths	10	3 rd , 5 th , 7 th , 9 th , 11 th , 13 th , 15 th , 17 th , 19 th months, month following final month
21–22 mths	11	3 rd , 5 th , 7 th , 9 th , 11 th , 13 th , 15 th , 17 th , 19 th , 21 st months, month following final month
23–24 mths	12	3 rd , 5 th , 7 th , 9 th , 11 th , 13 th , 15 th , 17 th , 19 th , 21 st , 23 rd months, month following final month

For the purposes of counting months under this schedule, the number of months in a transitional year is calculated as follows:

- # The first month in a person's transitional year is the first whole month in the transitional year.
- # The final month in a person's transitional year is the month in which their new balance date under s [39](#) of the TAA occurs.
- # Each month falling between the first and final months must be included in determining the length of the transitional year (s [RC 21\(5\)](#)).

Law: IT07 ss [RC 21](#), [YA 1](#) (“transitional year”), [Sch 3](#)

Last reviewed on 31 December 2025

Liability to pay provisional tax [¶22-040]

[¶22-040]

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A person will be liable to pay provisional tax if they have RIT ([¶22-060](#)) of more than \$5,000, or they choose to pay provisional tax under s [RC 4](#) ([¶22-048](#)).

Under s [RC 3\(2\)](#) the following persons do not pay provisional tax:

- # a non-resident company that does not have a fixed establishment in New Zealand
- # a multi-rate portfolio investment entity (PIE) that does not make an election under s [HM 44](#) to pay provisional tax
- # a non-resident contractor who has not been given an exemption relating to deductions of withholding tax.

A person is not required to pay provisional tax so long as their previous year's RIT is \$5,000 or less (s [RC 3\(3\)](#)). However, if the taxpayer's RIT for the current tax year is more than \$5,000 and no provisional tax has been paid (because the previous year's RIT was \$5,000 or less), the taxpayer should be aware of the potential application of the use of money interest provisions unless they qualify for one of the interest concessions; see further at [¶22-115](#) for new provisional taxpayers and at [¶22-352](#).

Even if a taxpayer is not required to pay provisional tax, the taxpayer may still elect to do so ([¶22-048](#)).

QWBA [QB 23/05](#): "Provisional tax — impact on salary and wage earners who receive one-off amounts of income without tax deducted" considers the requirement to pay provisional tax and the implications for use of money interest where a person receives a one-off lump sum amount of income without tax withheld and their RIT exceeds \$5,000. The item confirms that although the person will become a provisional taxpayer, there is no requirement to pay provisional tax in that year if the previous year's RIT was less than \$5,000. However, if the person's RIT for the year is \$60,000 or more they will be exposed to use of money interest from their third instalment date on any unpaid RIT. If their RIT is less than \$60,000, they must pay their RIT by terminal tax date to avoid interest. In the year following receipt, however, they will be a provisional taxpayer and obliged to pay provisional tax. If their tax position is automatically calculated, they will be advised to pay provisional tax on instalment dates based on the standard method, unless they elect to use the estimation method. If they file a return, they must choose a method when they file their return and pay instalments accordingly. If they do not expect to receive any further income of this nature in the subsequent year, they may choose to estimate their provisional tax at nil and make no instalments. It must be noted that this will expose them to interest on any shortfall at each instalment date. In addition, late payment penalties may apply if instalments of provisional tax are under paid or paid late and the RIT is greater than \$5,000. In the following year, if the taxpayer has a RIT of less than \$5,000 they will not be a provisional atx payer unless they elect to be one. The QWBA contains a flowchart and examples to illustrate these points.

Law: IT07 s [RC 3](#); TAA s [120KE](#)

Last reviewed on 31 December 2025

Election to be a provisional taxpayer [¶22-048]

[¶22-048]

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A taxpayer who is not otherwise required to pay provisional tax may elect to become a provisional taxpayer.

Taxpayers are eligible to make such an election if they pay provisional tax of more than \$5,000 on or before the date of instalment F ([Sch 3](#)), or, if the taxpayer is in a transitional year, on or before the final instalment date, and had (on the day that the first payment is made) a reasonable expectation of being a provisional taxpayer for that year. The election is made in the annual tax return for the tax year to which the election relates.

This provision does not apply to taxpayers described in s [RC 3\(2\)](#) (discussed in [¶22-040](#)).

Law: IT07 s [RC 4](#)

Last reviewed on 31 December 2025

Life insurance business and provisional tax [122-055]

[122-055]

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Taxpayers in the business of providing life insurance who are liable for income tax under the rules for life insurers must provide details of provisional tax calculations. The life insurer must state the provisional tax referable to its policyholder base. The statement should be provided at the time of the first instalment date.

Law: IT07 s [RC 5\(8\)](#)

Last reviewed on 31 December 2025

Residual income tax [I22-060]

[I22-060]

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Residual income tax (RIT) is used to calculate the amount of provisional tax a taxpayer is required to pay. RIT, for a person and a tax year, is defined as the positive amount (if any) that remains after subtracting from the person's income tax liability for the tax year, the following amounts:

credits allowed against the income tax liability under:

s [LB 1](#) — for PAYE income payments

s [LB 3](#) — for resident withholding tax

s [LB 5](#) — for non-resident withholding tax

s [LB 6](#) — for retirement scheme contribution tax

s [LB 6B](#) — for residential land withholding tax

s [LC 13](#) — for independent earners

s [LE 1](#) — for imputation credits

s [LJ 2](#) — for foreign income tax

s [LK 1](#) — relating to attributed CFC income

s [LK 6](#) — relating to use of tax credits by group companies

s [LO 1](#) — for Maori authority credits

s [LY 1](#) — for R&D tax credits

tax credits for a supplementary dividend paid under subpart [LP](#) (excluding excess credits carried back or set off between wholly-owned group companies under s [LP 3\(3\)](#))

tax paid by a trustee for a beneficiary or by an agent for a principal.

When calculating residual income tax for an income year no deduction is made (at this point) for any provisional tax payments made during that year.

Law: IT07 s [YA 1](#) ("[residual income tax](#)")

Last reviewed on 31 December 2025

Methods of calculating provisional tax payable [¶22-070]

[¶22-070]

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There are 4 methods to calculate a taxpayer's provisional tax liability:

- # the standard (uplift) method (ss [RC 5\(2\)](#), [\(3\)](#), [RC 6](#) and [¶22-075](#))
- # an estimate of RIT on or before the due date of an instalment (ss [RC 5\(5\)](#), [RC 7](#) and [¶22-082](#))
- # the AIM (ss [RC 5\(5B\)](#), [\(5C\)](#), [RC 7B](#) and [¶22-090](#))
- # the use of the taxpayer's GST ratio (ss [RC 5\(6\)](#), [RC 8](#) and [¶22-105](#)).

The standard method is the default method unless the taxpayer chooses an option. Additionally, the Commissioner may also determine the amount of provisional tax that a taxpayer should pay under the circumstances set out in accordance with a determination issued by the Commissioner under s [119](#) of the TAA (s [RC 5\(7\)](#) and [¶22-110](#)).

Law: IT07 ss [RA 4](#), [RC 5](#), [RC 7](#), [RC 7B](#), [RC 8](#)

Last reviewed on 31 December 2025

Standard (uplift) method for provisional tax [¶22-075]

[¶22-075]

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The standard calculation method is the default calculation method unless another method is adopted. It applies if other prescribed methods do not, although it is overridden if another method is selected.

Under the standard method, the amount of provisional tax payable for a tax year is:

- # 105% of the previous tax year's RIT, or
- # for taxpayers who have not yet furnished their preceding tax year's tax return due to an extension of time arrangement, 110% of the RIT of the tax year before the preceding tax year.

Note: It has been clarified that a taxpayer using the standard uplift method must use 110% of their residual income tax for the tax year before the preceding tax year to calculate their standard "uplift" amount (the 10% uplift) to calculate provisional tax payable for the year if they have not filed the preceding tax year's tax return on or before the second instalment date. However, this amendment does not apply to a person to the extent that the taxpayer was assessed for penalties and interest on an income tax return before 30 August 2022 that is inconsistent with the amendment. In other words, despite the retrospective amendment, penalties and interest that may have been imposed will still stand. Once the tax return for the previous year is filed, the provisional tax is recalculated based on that year's RIT plus 5% less the provisional tax payments made.

Residual income tax generally

RIT for a tax year is based on:

- # the taxpayer's assessment for the preceding tax year, unless the Commissioner has issued a notice of assessment for the tax year at least 30 days before the relevant instalment date, in which case it is based on the Commissioner's assessment for the preceding tax year (s [RC 6\(2\)](#))
- # the Commissioner's assessment for the preceding tax year, whenever the assessment is made, if the taxpayer has failed to file a return by the due date or has been allowed an extension of time for filing under ss [33](#) and [37](#) of the TAA (s [RC 6\(3\)](#)), and
- # the amount of RIT (if any) for the immediately preceding tax year, if the taxpayer is not required to provide a return of income for the preceding tax year or the taxpayer's RIT for the tax year before the preceding tax year was \$5,000 or less and the taxpayer was not required to provide and has not provided a return of income for the tax year by the date of instalment F of [Sch 3](#) for the corresponding income year (s [RC 6\(4\)](#)).

Any increase in RIT resulting from an assessment of a taxpayer's tax liability after the due date for payment of the tax is ignored for provisional tax purposes (s [RC 6\(5\)](#)).

The standard method is not available if another method is adopted, ie an estimate has been filed, the GST ratio method or AIM has been chosen, or the Commissioner has determined the amount of provisional tax payable.

The amount of provisional tax payable for a year calculated under the uplift method in s [RC 5\(2\)](#) or [\(3\)](#) is truncated to whole dollars, eg \$10.98 to \$10.

Calculation of instalments

Where the standard method is used, s [RC 10](#) provides that the amount of an instalment of provisional tax for a tax year is calculated using the following formula:

$$(\text{residual income tax} \times \text{instalment number} \div \text{total instalments}) \# \text{provisional tax}$$

where:

residual income tax is 105% of the taxpayer's RIT for the preceding tax year or 110% of the taxpayer's RIT for the tax year immediately before the preceding tax year or the amount estimated by the taxpayer

instalment number is the number of the taxpayer's instalment for the year (eg 1, 2 or 3)

total instalments is the total number of the taxpayer's instalments for the tax year (eg 1, 2 or 3)

provisional tax is the amount of the taxpayer's provisional tax liabilities for the tax year to date.

If a change occurs to the balance date or cycle of taxable periods of a provisional taxpayer, the calculation of the amount of an instalment is made by applying the updated figures to the items in the formula (s [RC 10\(4\)](#)).

From the 2020 income year, s [RC 10\(5\)](#) and [\(6\)](#) allow provisional taxpayers who use the standard method to pay an amount lower than the standard method obligation on the final instalment date without having to change to the estimation method. This is to reduce compliance costs for taxpayers.

Section [RC 10\(5\)](#) provides that a person using the standard method may use the following formula to calculate their final instalment if their expected RIT is \$60,000 or more:

expected RIT – tax

where:

expected RIT is the person's expectation of their RIT for the tax year

tax is the amount of the person's provisional tax liabilities for the tax year to date.

Note that provisional tax instalments calculated under s RC 10 are also truncated to whole dollars, eg \$10.98 to \$10.

Law: IT07 ss [RC 5\(2\)–\(4\)](#), [RC 6](#), [RC 10](#), [YA 1](#) ("residual income tax")

Last reviewed on 31 December 2025

Determining residual income tax following a transitional year [¶22-080]

[¶22-080]

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Special rules apply for taxpayers whose previous year has been a transitional year (ie. the year in which the Commissioner notifies a change in balance date). Because provisional tax is calculated on the basis of the previous year's residual income tax (RIT) an adjustment is required to effectively gross up or scale down RIT for the transitional year, until it represents the RIT that would have been applied had that transitional year been of a standard length (s [RC 20\(2\)](#)).

The amount of RIT for the transitional year must be increased or decreased by the amount given by the formula set out in s [RC 20\(3\)](#):

$$\text{residual income tax} \times \text{days in current tax year} \div \text{days in transitional year}$$

where:

residual income tax is 105% of the taxpayer's RIT for the preceding tax year or 110% of the taxpayer's RIT for the tax year immediately before the preceding tax year or the amount estimated by the taxpayer

days in current tax year is the number of days in the current tax year, and

days in transitional year is the number of days in the person's transitional year.

The taxpayer must continue to use the existing instalment dates (that applied before the change of balance date was approved) up until the new balance date is reached (s [RC 25\(2\)](#)).

Note that residual income tax calculated under s RC 20 is truncated to whole dollars, eg \$10.98 to \$10.

Law: IT07 s [RC 20](#)

Last reviewed on 31 December 2025

Estimated provisional tax [¶22-082]

[¶22-082]

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On or before an instalment date of provisional tax, a taxpayer may make a fair and reasonable estimate or revised estimate of the taxpayer's RIT for the income tax year and furnish a statement to IR detailing the amount estimated. Up until the final instalment due date, there is no limit on the number of times a taxpayer can re-estimate their RIT.

When making such an estimate, a taxpayer is required to take reasonable care and must revise the estimate for the tax year if, at some time in the tax year, the amount estimated is no longer fair and reasonable. A taxpayer is deemed to have taken reasonable care in making the estimate if the estimate is more than the provisional tax payable (s [RC 7\(5\)](#)).

If an estimate is made in a tax year in which the taxpayer's balance date has changed, the taxpayer must estimate the RIT as if no change in balance date will be approved and make a re-estimate after approval is received.

The benefit of estimating provisional tax is that taxpayers can avoid paying too much provisional tax. This situation may occur when the taxpayer's income for a particular year is less than the previous year. Provisional taxpayers with RIT over \$60,000 may minimise their exposure to use of money interest by estimating or over-estimating their provisional tax.

However, those taxpayers who have RIT under \$60,000 may prefer not to estimate as they will be liable for use of money interest on any shortfall. Additionally, provisional taxpayers who estimate may be liable to shortfall penalties if reasonable care is not taken when formulating their estimation.

If a taxpayer discontinues using the GST ratio method before the first provisional tax instalment date, they can elect to use the standard or estimation method of calculating provisional tax. However, if a taxpayer discontinues using the GST ratio method after the first provisional tax instalment date, the taxpayer is required to estimate their provisional tax payments for the remainder of the year. For this purpose the taxpayer may provide the estimate in writing or by telephone (s [RC 18\(4\)](#) and [\(5\)](#) and [¶22-105](#)).

The calculation of the amount of instalments under the estimation method is the same as under the standard method ([¶22-075](#) and s [RC 10](#)).

Interest is payable or receivable on any provisional tax paid that is under- or over-estimated ([¶22-352](#)).

Law: IT07 ss [RC 5\(5\)](#), [RC 7](#)

Last reviewed on 31 December 2025

Shortfall penalties for lack of reasonable care when making an estimate [¶22-083]

[¶22-083]

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If a taxpayer fails to take reasonable care in making an estimate of RIT, or in ensuring that the current estimate remains fair and reasonable for a particular instalment, the 20% shortfall penalty for lack of reasonable care will apply (s [141A](#) of the TAA and [¶14-112](#)).

For the purposes of determining the amount of a tax shortfall in relation to an instalment date and a provisional taxpayer (other than a date and taxpayer using the AIM), s [141\(14\)](#) provides that the tax shortfall is the difference between:

the lesser of:

the amount of provisional tax payable on the instalment date if an estimate had not applied at that instalment date (ie the amount payable calculated on the standard uplift basis), and

the amount that would have been payable on that instalment date if the taxpayer's provisional tax payable for the tax year had been the taxpayer's RIT liability for the tax year

and

the amount of provisional tax payable on that instalment date as determined by the estimate applying at that instalment date.

Example:

Harry is a freelance journalist and a provisional taxpayer. He filed his 20X3–X4 tax return that showed RIT of \$24,000. Harry estimates his 20X4–X5 provisional tax as \$12,000 and makes payments of \$4,000 on the first and second instalment dates.

Two months before the last instalment date, Harry secures a lucrative contract and his income increases substantially. Harry's estimated provisional tax payable for the 20X4–X5 tax year increases to \$39,000, but Harry does not file a revised estimate with IR. He makes his payment of \$4,000 under his original estimate on the last instalment date. Harry's RIT for the year is actually \$33,000.

Harry is likely to be assessed for lack of reasonable care for not filing a revised estimate before his last instalment date. The shortfall penalty would be calculated as follows:

20% of the difference between:

the lesser of:

\$17,200 (being the provisional tax payable on the last instalment date based on the standard uplift method, ie $\frac{3}{3}$ of (105% × \$24,000) less payments made), and

\$25,000 (being $\frac{3}{3}$ of the RIT of \$33,000 less the instalments of \$8,000 paid)

and

\$4,000 (the amount payable on the last instalment date based on the actual estimate).

Therefore, the shortfall penalty calculation for the last instalment date will be:

$$20\% \times (\$17,200 \# \$4,000) = \$2,640$$

Harry will also incur use of money interest on provisional tax underpayments from the first instalment date.

Law: TAA ss [141\(14\)](#), [141A](#)

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Accounting income method for provisional tax [¶22-090]

[¶22-090]

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The accounting income method (AIM) uses accounting information prepared by a taxpayer for a period as a basis for calculating the tax liability of the business for that period. The resulting amount is payable by the taxpayer as a provisional tax instalment. AIM payments are generated by the accounting software and authorised by the user, whether a business or its advisors. The user confirms the amount to pay and then activates the payment for both GST and provisional tax. The calculation and payment of provisional tax is integrated into business processes and payment amounts are based on current year tax-adjusted income. For a practical example of the AIM calculation refer to *Tax Information Bulletin* [¶2910-113 Vol 29, No 10](#), November 2017 at 55.

Eligibility to use the AIM

Section [RC 5\(5B\)](#) sets out the criteria a person must meet to use the AIM to calculate their provisional tax. They must, for the current tax year (which is not a transitional year):

- # have chosen either
 - # to use AIM on or before their first instalment date for the current tax year, or
 - # to change part-year to use the AIM method for their remaining instalment dates, having used either the standard method or GST ratio method at the beginning of the current tax year and having met all of their provisional tax obligations under that method since the beginning of the current tax year
 - # use an AIM-capable accounting system (discussed below) that is up-to-date, and
 - # have annual gross income of \$5 million or less for the previous tax year.

A person that has annual gross income of more than \$5 million will still be able to use AIM in the following circumstances:

- # they have previously used AIM when their income was \$5 million or less and the Commissioner has approved their continued use of an AIM-capable accounting system (s [124ZE](#) of the TAA), or
- # they have a large business AIM-capable system, being an AIM-capable accounting system approved by the Commissioner for use by a class of taxpayers with annual gross income of more than \$5 million (s [124ZD](#) of the TAA).

In each case, the Commissioner may grant his approval if he decides there is minimal risk the approval will result in less net revenue collectable from the person or class of taxpayers over time.

A person will not be eligible to use AIM if the person:

- # has been liable, in one of the last 4 years, for a shortfall penalty in relation to their use of AIM
- # has returned tax liabilities using AIM with the sole purpose or effect of consistently, year-on-year, reducing their tax liabilities below the amounts of reasonably accurate assessments
- # is a member of one of the following classes of taxpayers that the Commissioner has excluded from using AIM in *Determination* [A1](#): "Classes of taxpayers that must not use AIM":
 - # trustees and beneficiaries of a trust
 - # partnerships
 - # taxpayers who have investments in foreign investment funds or controlled foreign companies
 - # Maori authorities
 - # portfolio investment entities
 - # superannuation funds, or
 - # has failed to provide required information (the statement of activity, discussed below) to the Commissioner more than twice for the current tax year.

If a person does not meet the requirements, they cannot use AIM for the current tax year. If they stop meeting the requirements part-way through the current year, they will be treated as using the estimation method for the whole of the current tax year and may be subject to use of money interest.

AIM-capable accounting system

An AIM-capable accounting system is defined as a double-entry accounting system that is an approved AIM provider's product and uses a core software accounting package (and connected packages) from an approved AIM provider that provides the ability to:

- # generate and keep comprehensive financial accounts, including accounting income and expenditure, ledger accounts, trial balances, bank account reconciliations and journals, on an on-demand basis, in accordance with good accounting and tax practices
- # calculate tax liabilities using tax adjustments for the financial accounts in accordance with a Determination and tax rates set under a Determination (see discussion of determinations issued below)
- # for tax adjustments not covered by a Determination, ensure they result in reasonably accurate assessments of tax liabilities
- # recalculate all financial accounts and tax liabilities if retrospective adjustments are required, and
- # produce reports and other information as required by the Commissioner.

In addition, the system must also have electronic communication facilities for giving information in the form prescribed by the Commissioner and for sending and receiving messages and notifications, as well as help documentation for end-users and their tax agents, with ongoing support provided.

Calculation of instalments

The amount calculated by the AIM-capable accounting system is the amount of provisional tax due to IR on each instalment date.

Statement of activity

AIM taxpayers must provide IR with an agreed set of information on or before each instalment date (the statement of activity). The Commissioner has issued *Determination A2*: "AIM information and form" on the information required. An AIM-capable accounting system will have the ability to map the ledger accounts of the business into an agreed statement of activity form that will be submitted to IR by the software itself. The statement of activity form is not a tax return. It is a summary of what is in the accounting software at that date.

Payment dates

Taxpayers adopting AIM have to make payments 12 times a year for those registered for monthly GST and 6 times a year for those who have a 6-month or 2-month taxable period or who are not registered for GST. The payment dates align with the payment dates for GST ([f122-115](#)).

Refunds

Using AIM when a business fluctuates between profit and loss throughout a year may require IR to refund amounts of overpaid tax in some periods, much the same as is currently the case for GST. The Commissioner will refund overpaid amounts of provisional tax paid through AIM to the taxpayer upon their request before year end ([f122-140](#)). No use of money interest is payable by the Commissioner on overpaid AIM provisional tax.

Commissioner's technical determinations

In addition to *Determination A1*: “Classes of taxpayers that must not use AIM” and *Determination A2*: “AIM information and form”, the Commissioner has also issued a number of technical determinations detailing the tax adjustments required for accounting income and expenditure under the AIM approach and tax rates for the calculation of tax liabilities under AIM. To ensure commonality across taxpayers and systems, these determinations contain the agreed treatment for the core adjustments required to reach the desired level of accuracy within AIM. This information is contained in a determination rather than the legislation itself so that it is easier to update and account for future technology advancements and tax changes and allows for wider consultation.

In brief, the determinations released include the following:

Determination A3: “Tax rates for AIM”.

This determination prescribes the tax rates that an AIM-capable accounting system must apply to the person’s year-to-date net positive accounting income and expenditure, after tax adjustments, to calculate their current instalment period payment.

Determination A4: “Tax adjustments for private expenditure under AIM”.

This determination requires a tax adjustment to accounting expenditure to the extent to which that expenditure is of a private or domestic nature.

Determination A5: “Tax adjustments for trading stock under AIM”.

This determination applies to taxpayers operating a periodic inventory system where their stocktake periods do not align with their AIM instalment periods. Where the taxpayer does not complete a physical stocktake to determine closing stock for the AIM instalment period, the determination requires a tax adjustment so that the taxpayer’s closing value of their trading stock for the period equals the closing value of their trading stock for the income year before the current income year under s [CH 1](#). The opening value of the taxpayer’s trading stock for the next AIM instalment period is equal to the closing stock value. Where the closing value of a taxpayer’s trading stock for the income year before the current income year is materially different from the closing value of a taxpayer’s trading stock for the AIM instalment period, a physical stocktake should be undertaken to ensure a reasonably accurate calculation of the provisional tax liability for the income year.

Determination A6: “Tax adjustments for accounts receivable and accounts payable under AIM”.

This determination provides that where a taxpayer is not registered for GST or is registered for GST on the payments basis they are not required to accrue accounts receivable and accounts payable in calculating accounting income and expenditure. However, they may elect to adopt an accrual basis and, where an election is made, that election cannot be revoked for the income year.

Where a taxpayer is registered for GST on the hybrid basis they may account on a hybrid basis or an accrual basis.

Taxpayers registered for GST on an invoice basis must accrue accounts receivable and accounts payable when calculating accounting income and expenditure under AIM.

Determination A7: “Tax adjustments for losses under AIM”.

This determination provides that where a loss arises in an earlier AIM instalment period, that loss may be carried forward and offset against accounting income and expenditure for the next AIM instalment period until the loss is fully utilised. This should automatically occur within the AIM-capable software as it will calculate year-to-date income and expenditure.

In the event that a taxpayer has a loss balance under s [IA 3\(4\)](#) from a prior income year, the loss becomes available to the taxpayer using AIM on the date the income tax return for the prior income year is assessed. The loss balance carried forward is allowed as a tax adjustment to increase accounting expenditure in the instalment period the assessment takes place.

Determination A8: "Tax adjustments for depreciation loss and depreciation recovery income under AIM".

This determination requires a taxpayer to choose for an income year either not to account for any depreciation- or amortisation-related income and expenditure in relation to any of their depreciable property or to account for depreciation- and amortisation-related income and expenditure for all their depreciable property using the relevant provisions of the Income Tax Act 2007. Tax adjustments must be made to account for their choice.

Determination A9: "Tax adjustments for provisions under AIM".

This determination requires that where accounting expenditure includes a provision, a tax adjustment is made to exclude that expenditure. However, a provision may be included in accounting expenditure where the provision relates to expenditure on employment income for a shareholder-employee of a company. A deduction for such expenditure is limited to the extent to which the company pays tax as an agent of the shareholder-employee in relation to the provision for shareholder remuneration income.

Determination A10: "Tax adjustments for livestock under AIM".

This determination applies to livestock that is not used in a dealing business and is therefore excluded from being trading stock under s [EB 2\(3\)\(f\)](#). It provides that where a taxpayer does not have a perpetual inventory system to determine the closing value of livestock for an AIM instalment period, the taxpayer must complete a physical stocktake for the AIM instalment period.

Determination A3–Determination A10 also include examples of the application of the determinations.

Transfers of overpaid provisional tax

Overpaid provisional tax in an AIM taxpaying company may be transferred to the AIM company shareholder-employees to meet their provisional tax liabilities on the dates that their provisional tax is due (regardless of when it is paid in the AIM company).

Overpayments of provisional tax that relate to shareholder-employee salary accruals may be transferred to meet the shareholders tax liability on that salary at the end of the income year. The transfer is treated as a refund for the purposes of the AIM company's imputation credit account.

The AIM company effectively acts as agent for the shareholder-employee (similar to the mechanism trustees have to pay tax on behalf of beneficiaries). This enables an AIM company to make payments on behalf of shareholder-employees that will reduce their RIT for the year and as a consequence could remove them from provisional tax.

AIM providers

Approval as AIM provider

A software provider must undertake a process of self-certification through statutory declaration before they can offer a product that is deemed AIM capable. Under s [124Y](#) of the TAA, the Commissioner may approve a software provider as an approved AIM provider in relation to one or more of their AIM-capable accounting systems, if approval will not negatively affect the integrity of the tax system and they make a statutory declaration:

specifying the name of the products

- # declaring that their policy is to update the product regularly, and
- # providing any other information the Commissioner requires.

The details of the information required by the Commissioner will be set out in a Determination to be released by IR.

Revocation of approval

An AIM provider's approval will be revoked if anything in their statutory declaration is untrue or does not continue to be true after the declaration is made, or revoking the approval positively affects the integrity of the tax system. However, the Commissioner must consult the approved AIM provider before the approval is revoked, with the intention that concerns could be remedied before revocation. The revocation will not take effect until the tax year after the tax year in which the Commissioner notifies the AIM provider of the revocation. The Commissioner may also reverse a revocation before it takes effect if the circumstances giving rise to the revocation have been remedied.

An approved AIM provider may choose to revoke their approval by giving notice to the Commissioner. The provider must also immediately give notice of their choice to revoke to all end-users of their products that will be affected by the revocation. The revocation will not take effect until the tax year after the tax year in which the Commissioner receives the notification.

The Commissioner may choose to publish a notice regarding approvals or revocations.

Required information

AIM providers must provide IR with an agreed set of aggregated data within 6 months of the end of the tax year. The information will relate to their AIM-capable accounting system products, their end-users' use of the products for a tax year, and any other matters relevant to the AIM for the tax year. The Commissioner is not able to require taxpayer-specific information.

Law: IT07 ss [RC 5\(5B\)](#), [RC 5\(5C\)](#), [RC 7B](#), [RC 9\(4B\)](#), [RC 10B](#), [RC 35B](#), [RM 6B](#), [YA 1](#) ("approved AIM provider"), [Sch 3](#); TAA ss [45](#), [45B](#), [91AAX–91AAZ](#), [124Y–124ZE](#)

Last reviewed on 31 December 2025

GST ratio method for provisional tax [¶22-105]

[¶22-105]

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The GST ratio method allows provisional taxpayers to base their provisional tax payments on a percentage of their GST taxable supplies. This method addresses concerns taxpayers had with provisional tax payments not being aligned with cash-flow and also reduces a taxpayer's exposure to use of money interest. Businesses whose income is declining or taxpayers whose income fluctuates during the year may benefit from using this method.

Eligibility for GST ratio method

Under s [RC 16\(2\)](#) a provisional taxpayer is eligible to use the GST ratio method for calculating provisional tax if, for the preceding tax year and corresponding income year:

- # their residual income tax (RIT) liability was more than \$5,000 but no more than \$150,000
- # they were GST-registered for the whole income year and they did not begin the taxable activity in that tax year, and
- # the ratio of their RIT to total taxable supplies is between 0%–100%.

In addition, under s [RC 16\(3\)](#), the taxpayer must be liable to file GST returns for the current tax year on a monthly or 2-monthly basis.

Taxpayers who choose to use the GST ratio method must fulfil the above criteria and inform the Commissioner of their election before the beginning of the income year. For example, if a taxpayer has a 31 March balance date and they wish to use the GST ratio method for the 2026 income year, they must inform the Commissioner of their election on or before 31 March 2025. The Commissioner will calculate the ratio and advise the taxpayer of their rate before their first provisional tax payment due date.

Discontinuing GST ratio method

Under s [RC 17\(1\)](#) and [\(2\)](#) a taxpayer must discontinue using the GST ratio method for a tax year if:

- # their GST registration ends in the current tax year
- # as a result of a reassessment for the preceding tax year they no longer qualify
- # they change their taxable period to a 6-monthly taxable period
- # they fail to file a GST return by the due date and the return is still not filed within 60 days of the due date
- # their GST ratio percentage changes and is no longer between 0% and 100%, or
- # their RIT is less than \$5,000 or is over \$150,000.

The date on which a person stops using the GST ratio method based on one of the above reasons is determined under s [RC 18\(3\)](#). A taxpayer can also elect to discontinue using the GST ratio method at any time.

If a taxpayer defaults in filing their GST returns, they may ask the Commissioner to continue to use the GST ratio method when the default was the result of an event or circumstance beyond their control that provides reasonable justification or excuse for defaulting and the taxpayer remedied the default as soon as practicable (s [RC 17\(4\)](#)).

If a taxpayer discontinues using the GST ratio method before the first provisional tax instalment date, they can elect to use the standard or estimation methods of calculating provisional tax. They are then treated as never having elected to use the GST ratio method: s [RC 18\(4\)](#). However, if a person discontinues using the GST ratio method after the first provisional tax instalment date, the taxpayer is required to estimate their provisional tax payments for the remainder of the income year and inform the Commissioner: s [RC 18\(5\)](#).

Calculation of GST ratio

Once a taxpayer elects to use the GST ratio method, the Commissioner will calculate the ratio and inform the taxpayer by including the percentage figure on the taxpayer's pre-printed GST return form, or by some other means. The GST ratio is the percentage figure obtained by dividing the taxpayer's RIT for the preceding tax year by their total taxable supplies for the same income year (s [RC 8\(2\)](#)).

If the taxpayer's RIT or total taxable supplies (the base amounts) for the preceding year have not been assessed, the base amounts for the year before the preceding year are used (s [RC 8\(3\)](#)). However, if for the year before the preceding year the base amounts have not been assessed because of an extension of time to file the return, or the assessment of a base amount is the subject of a dispute or challenge, or that year is a transitional year, then the base amounts for the year that is 2 years before the preceding year are used (provided they have been assessed, are not subject to challenge and it is not a transitional year) (s [RC 8\(3B\)](#)).

If the preceding year is a transitional year, the taxpayer should ignore the transitional year and use the base amounts for the year before the transitional year. If the base amounts for the year before the transitional year have not been assessed or are the subject of a dispute or challenge, or that year is a transitional year, then the base amounts for the year 2 years before the transitional year are used (provided they have been assessed, are not subject to challenge and it is not a transitional year) (s [RC 8\(7\)](#) and [\(7B\)](#)).

Under s [RC 8\(5\)](#), the Commissioner must adjust a taxpayer's GST ratio if the RIT or total taxable supplies figures used in the formula are revised through, among other reasons:

- # an assessment or reassessment of the taxpayer's income tax return for the preceding tax year
- # a change in the value of the total taxable supplies for the corresponding income year, or
- # the disposal of an asset that is not revenue account property and the value of the supply of which is not less than the greater of 5% of the taxpayer's taxable supplies for the previous 12 months or \$1,000.

The Commissioner must inform the taxpayer of the new GST ratio and it will apply for instalment dates that occur 30 days after the date they are informed (s [RC 8\(6\)](#)).

Calculation of provisional tax

To calculate provisional tax payments a taxpayer multiplies their GST ratio for the tax year by their total taxable supplies for the 2-month period (monthly payers add the taxable supplies for 2 return periods).

Example:

Keith has chosen to use the GST ratio method for the 2024–25 income year. Keith files 2 monthly GST returns. The Commissioner has advised that his GST ratio is 8%. Keith is a standard balance date taxpayer.

Keith's provisional tax payments are calculated by multiplying his GST ratio by the total taxable supplies for the instalment period. He will have to pay provisional tax in 6 instalments on his GST payment dates as follows:

Provisional tax instalment due date	Taxable supplies	Calculation of payment	Amount of payment
28 June 2024	\$29,000	$\$29,000 \times 8\%$	\$2,320
28 August 2024	\$28,000	$\$28,000 \times 8\%$	\$2,240
28 October 2024	\$33,000	$\$33,000 \times 8\%$	\$2,640
15 January 2025	\$31,000	$\$31,000 \times 8\%$	\$2,480
28 February 2025	\$27,000	$\$27,000 \times 8\%$	\$2,160
7 May 2025	\$27,000	$\$27,000 \times 8\%$	\$2,160

Disposal of assets

There are special rules for when a taxpayer using the GST ratio method disposes of an asset that is not revenue account property and the value of the supply of which is not less than the greater of \$1,000 or 5% of the total taxable supplies of the business for the previous 12 months. The Commissioner will use the larger amount. The taxpayer can elect to take account of the disposal in adjusting their taxable supplies for the relevant taxable period and income year, by subtracting the value, including GST, of the asset from:

- # the total taxable supplies for a taxable period in proportion to the output tax that is attributed to that taxable period for the supply of the asset, or
- # the base amount of total taxable supplies for the corresponding income year in proportion to the output tax that is attributed to a taxable period in that income year for the supply of the asset (s [RC 19\(2\)](#)).

In accordance with s [RC 19\(3\)](#) the taxpayer must inform the Commissioner of the disposal of the asset and the value of its supply.

Law: IT07 ss [RC 5\(6\)](#), [RC 8](#), [RC 11](#), [RC 15–RC 19](#)

Last reviewed on 31 December 2025

Determination of provisional tax by Commissioner [¶22-110]

[¶22-110]

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The Commissioner is authorised to increase the amount of provisional tax payable for a tax year, where:

- # a person fails to furnish a return of income for the immediately preceding tax year
- # the Commissioner is not satisfied with a return made by a person for any of the 2 immediately preceding tax years
- # the Commissioner considers a person is a provisional taxpayer, although that person has not furnished a return of income
- # the taxpayer is using the AIM and the approved AIM provider's product they are using calculates tax liabilities that are not reasonably accurate assessments
- # the Commissioner considers that an estimate of RIT furnished under s [RC 7](#) is not fair and reasonable at the time at which it was made or on any instalment date, or
- # a person is required, under ss [RC 7](#) and [RC 18\(5\)](#), to estimate their RIT and fails to provide an estimate or re-estimate to the Commissioner (s [119\(1\)](#) of the TAA).

Any adjustment under these provisions is limited to the amount of provisional tax that would be payable if no estimate had been made.

Under s [119\(2\)](#) of the TAA the Commissioner can also adjust the provisional tax payable by a provisional taxpayer where:

- # the Commissioner considers that the provisional tax that would be payable is excessive due to:
 - # foreign tax credits on controlled foreign companies (ss [LK 1](#), [LK 6](#))
 - # an exemption for principals resident abroad and their New Zealand agents (s [HD 29\(3\)](#))
 - # credits for tax paid in a country or territory outside New Zealand (s [LJ 1](#)), or
 - # any double tax agreement.

The Commissioner is required to notify the taxpayer of any adjustment. If the provisional tax determined by the Commissioner is increased, he must also give time (ie at least 30 days after issuing the notice) for the payment of the shortfall and any resulting penalties. The exception is where an estimate by the taxpayer was not fair and reasonable. In that case, the shortfall for any instalment date for which the estimate had effect is treated as due and payable on that instalment date (s [119\(4\)](#)). A taxpayer is entitled to object to (under Pt [8](#) of the TAA), or challenge (under Pt [8A](#)), any provisional tax determined by the Commissioner.

Law: IT07 s [RC 5\(7\)](#); TAA s [119](#)

Last reviewed on 31 December 2025

Instalments of provisional tax [¶22-115]

[¶22-115]

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The general rule for the standard and estimation methods is that provisional tax is payable in 3 equal instalments on the interest instalment dates for the tax year in the months specified in [Sch 3, pt A](#) for the taxpayer's corresponding income year (s [RC 9\(3\)](#)). Thus, the instalment dates set by [Sch 3](#) depend on the taxpayer's balance date ([¶22-012](#)). If the total amount is not divisible into equal instalments, the final instalment will make up the difference.

The dates of payment of provisional tax are aligned with GST payment dates. Generally, an instalment date will be the 28th day of the month. However, to take account of the Christmas and Easter holiday periods, the payment for 28 December is due on 15 January and the payment for 28 April is due on 7 May.

The general rule does not apply to:

- # a provisional taxpayer who pays GST on a 6-monthly basis, uses the GST ratio method, changes from the GST ratio method, or changes their cycle of taxable periods, or
- # a new provisional taxpayer (one with an initial provisional tax liability) who pays GST on a 6-monthly basis or pays GST on a monthly or 2-monthly basis and starts a taxable activity within 30 days before the taxpayer's instalment date B in their corresponding income year, or
- # a provisional taxpayer who uses the AIM, or
- # a provisional taxpayer who has not provided an annual return for the preceding tax year and whose RIT for the tax year immediately before the preceding tax year was \$5,000 or less, or
- # a transitional year (s [RC 9\(4\)](#) and [¶22-120](#)).

Accounting income method (AIM) — s RC 9(4B)

A provisional taxpayer who uses AIM must pay provisional tax:

- # if they are not registered for GST, or have a 6-month taxable period, on the 6 instalment dates in the months set out in [Sch 3, pt A](#), columns A, B, C, D, E and F for their balance date, or
- # if they have a 2-month taxable period, on the group of 6 instalment dates in the months set out in either [Sch 3, pt A](#), columns A, B, C, D, E and F or [Sch 3, pt A](#), columns A1, B1, C1, D1, E1 and F1 that corresponds to the due dates for their GST returns, or
- # if they have a one-month taxable period, on the 12 instalment dates in the months set out in [sch 3, pt A](#), columns A to F1 for their corresponding income year.

Part-year change to AIM — s RC 9(4C)

A provisional taxpayer who changes to AIM part way through the year under s [RC 5\(5B\)](#) must use the relevant remaining instalment dates for them under the AIM method. The amount of each relevant instalment is calculated under s [RC 10B](#).

GST on 6-monthly basis — s RC 9(5)

A provisional taxpayer who pays GST on a 6-monthly basis must pay provisional tax on the 2 interest instalment dates for the tax year in the months set out in [Sch 3, pt A](#), columns C and F for the taxpayer's corresponding income year. This will apply to a new provisional taxpayer other than one who pays GST on a 6-monthly basis and starts a taxable activity within 30 days before the date of instalment C.

Example:

Taxpayers with a standard balance date (31 March) will be liable to make provisional tax payments on 28 October for the 6 months to 30 September, and 7 May for the 6 months to 31 March.

GST ratio method — s RC 9(6)

A provisional taxpayer who uses a GST ratio must pay provisional tax on the 6 ratio instalment dates in the months set out in [Sch 3, pt A](#), columns A, B, C, D, E and F for the taxpayer's corresponding income year. The amount of each instalment is calculated under s [RC 11](#).

Example:

Taxpayers with a standard balance date will be liable to make payments on the following dates:

P1 — 28 June	P4 — 15 January
P2 — 28 August	P5 — 28 February
P3 — 28 October	P6 — 7 May

Changing calculation method — s RC 9(7)

If a provisional taxpayer changes their method of determining provisional tax from the GST ratio method under s [RC 18](#), the taxpayer must pay provisional tax payable for the tax year on the relevant instalment dates for the replacement method. The amount of each instalment is calculated under s [RC 10](#).

Changing taxable periods — s RC 9(8)

A provisional taxpayer who changes the cycle of their taxable periods under s [15C](#) of the Goods and Services Tax Act 1985 must pay provisional tax on the instalment dates specified in s [RC 27](#) as follows:

- # if the provisional taxpayer uses the standard or estimation method and changes from a monthly or 2-monthly basis to a 6-monthly basis, instalments are payable on whichever of instalments C and F of [Sch 3, pt A](#) for their corresponding income year that occur after the change takes effect
- # if the provisional taxpayer uses the standard or estimation method and changes from a 6-monthly basis to a monthly or 2-monthly basis, instalments are payable on whichever of instalments B, D and F of [Sch 3, pt A](#) for their corresponding income year that occur after the change takes effect.

Persons with an initial provisional tax liability — s RC 9(9)

A person with an initial provisional tax liability who starts a taxable activity in a tax year is liable to pay interest under s [120KC](#) of the TAA as if they were liable to pay provisional tax as set out in s [RC 9\(9\)](#). That provision sets out when a person with an initial provisional tax liability is liable to pay provisional tax in one, 2 or 3 instalments.

An initial provisional tax liability is defined for a non-natural person as a provisional tax liability for a tax year in which the person starts to derive income from a taxable activity when they did not derive income from a taxable activity in any of the 4 previous tax years and they have residual income tax (RIT) of \$60,000 or more in the tax year.

An initial provisional tax liability for a natural person is defined as a provisional tax liability for a tax year when:

- # they did not have RIT of more than \$5,000 in any of the 4 previous tax years
- # they have RIT of \$60,000 or more in the tax year, and
- # in the tax year, they stopped deriving employment income and then started to derive income from a taxable activity.

A person with an initial provisional tax liability must pay provisional tax for the tax year:

- # in 3 instalments if they start a taxable activity in the period that starts at the beginning of the corresponding income year and ends 30 days before the date of instalment B of [Sch 3, pt A](#)
- # in 2 instalments if s [RC 13](#) applies (see below) or if they pay GST on a 6-monthly basis and start a taxable activity in the period that starts at the beginning of the corresponding income year and ends 30 days before the date of instalment C of [Sch 3, pt A](#)
- # in one instalment if s [RC 14](#) applies (see below).

The amount of provisional tax payable is calculated in accordance with s [RC 10](#) ([¶22-075](#)).

Note that an instalment calculated under s [RC 9](#) is truncated to whole dollars, eg \$10.98 to \$10.

QB 19/04

[QB 19/04](#): “Income tax — provisional tax and use of money interest implications for a person in their first year of business” considers the situation of a taxpayer starting a taxable activity who did not have RIT of \$2,500 in the previous year. (Note that the discussion in [QB 19/04](#) refers to the previous RIT threshold of \$2,500, which is now \$5,000.)

The item considers the meaning of “taxable activity” in this context, applying the GST approach, and concludes that anything done in connection with the beginning of a taxable activity is treated as part of that taxable activity. However, if no taxable activity is subsequently commenced, the commencement actions are not sufficient on their own to be treated as a taxable activity. If the taxpayer has RIT of \$60,000 or more, [QB 19/04](#) confirms the taxpayer will be liable to interest if they do not make one to 3 instalments of provisional tax, depending on the start date of their taxable activity. If their RIT is less than \$60,000, they will only be exposed to interest if they do not pay their RIT by terminal tax date. The QWBA contains a flowchart and examples to illustrate these points.

Payments in 2 instalments — s RC 13

Under s [RC 13](#), a person with an initial provisional tax liability (other than a person who pays GST on a 6-monthly basis) may pay provisional tax in 2 instalments where their first business day occurs in the period that starts 30 days before the date of instalment B of [Sch 3, pt A](#) and ends 30 days before the date of instalment D of [Sch 3, pt A](#). Where business first commences within that period, provisional tax must be paid on instalment dates D and F of [Sch 3, pt A](#).

“First business day” is defined in s [YA 1](#). For a non-natural person, it generally means the first day in an income year on which income is derived or expenditure is incurred from carrying on a taxable activity. For a natural person, it generally means the day after the last day they derived income from employment.

In addition, provisional taxpayers who are not required to file their last year's income tax return by instalment date B (by reason of extension of time arrangements under s [37](#) of the TAA), whose RIT for the tax year before the preceding tax year was \$5,000 or less, and who provide their return in the period between instalment dates B and D, may also pay their provisional tax on the dates of instalments D and F of [Sch 3, pt A](#) (s [RC 13\(1\)\(b\)](#)).

Payment in one instalment — s RC 14

Provisional tax is payable in one instalment on the date of instalment F of [Sch 3, pt A](#) by:

- # A person with an initial provisional tax liability whose first business day occurs in the period that starts 30 days before the date of instalment D of [Sch 3, pt A](#) and ends at the end of the corresponding income year.
- # A provisional taxpayer whose income tax return for the preceding tax year is not filed by instalment date D (by reason of an extension of time arrangement under s [37](#) of the TAA) and whose RIT for the tax year before the preceding tax year was \$5,000 or less.

A person who pays GST on a 6-monthly basis, whose first business day occurs in the period that starts 30 days before the date of instalment C of [Sch 3, pt A](#) and ends at the end of the corresponding income year, or whose income tax return for the preceding tax year is not filed by instalment date C (by reason of an extension of time arrangement under s [37](#) of the TAA) and whose RIT for the tax year before the preceding tax year was \$5,000 or less.

Law: IT07 ss [RA 4](#), [RA 14](#), [RC 9](#), [RC 13](#), [RC 14](#), [RC 27](#), [YA 1](#) (“first business day”, “initial provisional tax liability”, “instalment date”), [Sch 3, pt A](#); TAA s [120KC](#)

Last reviewed on 31 December 2025

Provisional tax instalment dates for transitional year [¶22-120]

[¶22-120]

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The instalment dates for provisional tax are based on a taxpayer's balance date, so when that balance date changes the pattern of provisional tax instalments also changes. The due dates for provisional tax in such a situation are set out in s [RC 21](#).

The total amount of provisional tax payable in a transitional year (the year in which the Commissioner notifies a change in balance date) is the total of all instalments of provisional tax due in the transitional year (s [RC 21\(1\)](#)).

Overall, the pattern and number of provisional tax instalments will be based on the old balance date. Generally, payments are required every 4 months. However, payments are required every 6 months for taxpayers on a 6-monthly basis and every 2 months for GST ratio method taxpayers. Modifications to the general instalment dates are included in s [RC 21\(4\)](#).

Instalments of provisional tax due in a transitional year are as follows:

For all instalments, except for the final instalment:

- # the 28th of the months specified in [Sch 3, pt B \(¶22-012\)](#), or
- # the 15th of January (if the month is December), or
- # the 7th of May (if the month is April) (s [RC 21\(2\)](#)).

For the final instalment:

- # the 28th day of the month following the final month in the transitional year, or
- # the 15th of January (if the final month in the transitional year is November), or
- # the 7th of May (if the final month in the transitional year is March) (s [RC 21\(3\)](#)).

When determining the number of months in a transitional year:

- # the first whole month in the transitional year is the first month
- # the final month is the month in which their new balance date occurs, and
- # each month falling between the first and final months must be included.

Law: IT07 ss [RC 21](#), [YA 1](#) ("transitional year"); TAA ss [39](#), [39B](#)

Last reviewed on 31 December 2025

Amount of provisional tax instalments in a transitional year [¶22-122]

[¶22-122]

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Standard method

For standard method taxpayers, the amount payable at each instalment date (other than the final instalment) in relation to a transitional year is determined by the following formula set out in s [RC 22\(2\)](#).

(person's provisional tax × instalments payable ÷ total instalments) # tax previously payable

where:

person's provisional tax is the person's provisional tax liability under s [RC 5\(2\)](#) or [\(3\)](#)

instalments payable is the number of instalments the person has in the transitional year on or before the instalment date

total instalments is whichever of the following applies:

- 3, for a person who pays on instalment dates B, D and F, or
- 2, for a person who pays on instalment dates C and F

tax previously payable is the amount for the transitional year of the person's provisional tax payable before the instalment date.

The amount payable on the final instalment date is determined by the following formula in s [RC 22\(4\)](#):

(person's provisional tax × transitional year days ÷ preceding year days) # tax previously payable

where:

person's provisional tax is the person's provisional tax liability under s [RC 5\(2\)](#) or [\(3\)](#)

transitional year days is the number of days in the person's transitional year

preceding year days is the number of days in the person's preceding tax year

tax previously payable is the amount of provisional tax for a tax year calculated on the basis of the person's transitional year that is payable before the instalment date.

Example:

On 20 April 20X3, Barry received approval from IR to change his balance date from 30 April 20X4 to 31 July 20X4. Barry uses the **standard uplift method** to calculate provisional tax payable. Barry's 20X2–X3 RIT is \$40,000.

Barry's 20X3–X4 tax year is a transitional year of 15 months, from 1 May 20X3 to 31 July 20X4 (ie 457 days). The 20X3–X4 provisional tax instalment dates will be 28 September 20X3, 28 January 20X4, 28 May 20X4 and 28 August 20X4. See s [RC 21\(5\)](#) and [Sch 3 pt B](#).

The amount payable on each of the first 3 instalments is calculated as follows (s [RC 22\(2\)](#)):

(person's provisional tax × instalments payable ÷ total instalments) # tax previously payable

28 September 20X3	$((\$40,000 \times 105\%) \times 1 \div 3) \# \0	= \$14,000
28 January 20X4	$((\$40,000 \times 105\%) \times 2 \div 3) \# \$14,000$	= \$14,000
28 May 20X4	$((\$40,000 \times 105\%) \times 3 \div 3) \# \$28,000$	= \$14,000

The amount payable on the final instalment is calculated as follows (s [RC 22\(4\)](#)):

(person's provisional tax × transitional year days ÷ preceding year days) # tax previously payable

28 August 20X4	$((\$40,000 \times 105\%) \times 457 \div 365) \# \$42,000 = \$10,586$
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Estimation method

For taxpayers who are estimating their residual income tax (RIT) for a transitional year, the amount payable on the first 2 instalments is determined by the following formula in s [RC 23\(2\)](#):

$$(\text{tax estimate} \times \text{instalments payable} \div \text{transitional months}) \# \text{ tax previously payable}$$

where:

tax estimate is the person's provisional tax liability last estimated by the person under s [RC 5\(5\)](#)

instalments payable is either:

— 4 multiplied by the number of instalments in the person's transitional year payable on or before the instalment date, for a person who pays on the equivalent of instalment dates B, D and F, or

— 6 multiplied by the number of instalments in the person's transitional year payable on or before the instalment date, for a person who pays on the equivalent of instalment dates C and F

transitional months is the number of months in the person's transitional year

tax previously payable is the amount of provisional tax for a tax year calculated on the basis of the person's transitional year that is payable before the instalment date.

The amount payable on the final instalment date is the amount calculated under s [RC 5\(5\)](#) less the amount of any instalment previously payable (s [RC 23\(4\)](#)).

Example:

Assume the same facts apply as in Example 1, except that Barry **estimates** his provisional tax liability. The estimate made for the 20X3–X4 transitional year is \$45,000 (ignoring modifications for reduction in tax rates).

The amount payable on each of the first 3 instalments is calculated as follows (s [RC 23\(2\)](#)):

$$(\text{tax estimate} \times \text{instalments payable} \div \text{transitional months}) \# \text{ tax previously payable}$$

28 September 20X3	$(\$45,000 \times (4 \times 1) \div 15)$	# \$0	= \$12,000
28 January 20X4	$(\$45,000 \times (4 \times 2) \div 15)$	# \$12,000	= \$12,000
28 May 20X4	$(\$45,000 \times (4 \times 3) \div 15)$	# \$24,000	= \$12,000

The amount payable on the final instalment is the amount calculated under s [RC 5\(5\)](#) less the amount of any instalment previously payable (s [RC 23\(4\)](#)).

Therefore, the final instalment on 28 August 20X4 will be \$9,000 (\$45,000 # \$36,000).

In a transitional year, if the person uses the estimation method and changes their balance date, they must:

before the date on which the Commissioner notifies a change in balance date, estimate the residual income tax as if no change in balance date is or will be approved, and

after the date on which the Commissioner notifies a change in balance date, re-estimate the residual income tax (s [RC 25\(4\)](#)).

GST ratio method

For provisional taxpayers using the GST ratio method for a transitional year, for a period or part period before the start of the new income year, the person must apply the GST ratio under s [RC 11](#) on whichever dates of instalments A, B, C, D, E and F for their corresponding income year occur in the transitional year (s [RC 24](#)).

When GST ratio method taxpayers change their balance date and move from a set of instalment dates in even-numbered months to a set of instalment dates in odd-numbered months, or vice versa, there will be a one-month period when GST and provisional tax are due before they change to their new balance date. The taxpayers must determine the amount of provisional tax due for this period by applying the GST ratio to the one-month's GST taxable supplies (s [RC 25\(5\)](#)).

When taxpayers change their balance date and their GST taxable periods do not align with their new balance date, the taxpayers adjust their GST taxable periods to align with the new balance date (s [RC 25\(7\)](#)).

Persons with an initial provisional tax liability who change their balance date

Persons with an initial provisional tax liability, and certain provisional taxpayers who pay GST on a 6-monthly basis, who change their balance date are provided for in s [RC 21\(4\)](#). This section effectively removes the obligation to pay either the first or second instalment, depending on when the taxpayer started business. Consequently, taxpayers with an initial provisional tax liability will have at least one provisional tax payment to make during the transitional year, unless their first business day occurs within 30 days before the date of instalment F of [Sch 3 pt A](#) (s [RC 21\(4\)\(c\)](#)).

See also [¶22-080](#).

Law: IT07 ss [RC 22–RC 25](#); TAA ss [39](#), [39B](#)

Last reviewed on 31 December 2025

Registering or deregistering for GST and provisional tax [¶22-125]

[¶22-125]

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When a provisional taxpayer who uses the standard or estimation method registers for GST on a monthly or 2-monthly basis part way through the year, or cancels or has their registration cancelled having paid on that basis, their provisional tax payments do not change as they are due on the same due dates for payment of GST with regard to:

- # the 2nd, 4th and 6th GST returns for a 2-monthly GST payer, or
- # the 4th, 8th and 12th GST returns for a monthly GST payer.

However, the position is not quite so clear for taxpayers who register for GST and elect to account for GST on a 6-monthly basis. On a plain reading of the legislation they must pay their instalments of provisional tax on whichever dates of instalments C and F for their corresponding income year coincide with the cycle of their taxable periods after they become a registered person. However, IR's view is that they must pay their provisional tax on the old basis until the beginning of their 6-monthly period, that is the change only applies *with effect from* the beginning of the 6-monthly period. *Tax Information Bulletin* ¶185-120 Vol 18, No 5, June 2006 contains the following example, at 71:

Mary begins GST on 1 July and elects to be on a six-monthly basis. Her balance date is 31 March and she will pay provisional tax on the old payments basis until the end of September when she will begin paying provisional tax on a six-monthly basis. Provisional tax payments will therefore be due on 28 August (old basis) and 28 April (new basis).

The same approach is applied to a taxpayer who accounts for GST on a 6-monthly basis when they deregister. Following deregistration, they must pay provisional tax 3 times a year on the standard provisional tax dates. The legislation provides that the next payment will be due on whichever of the 3 standard provisional tax payment instalment dates B, D and F that occurs 30 days from the date of deregistration. For these purposes the date of cancellation of GST registration will be the later of the date on which the cancellation is notified and the date on which the taxpayer ceases to be liable to be registered under s 52 of the Goods and Services Tax Act 1985. IR's view is that they must pay on the old basis until the new basis applies, ie the new basis only applies *with effect from* deregistration. The TIB includes the following example:

Denis has a March balance date and pays GST on a six-monthly basis. On 11 October Denis deregisters for GST. He makes the 28 October payment on the old basis and then his next provisional tax payments are due on 15 January and 28 April.

Note that although the correct interpretation of the section is arguable, IR's approach is supported by parliamentary intent, as evidenced by the legislative commentary when the relevant legislation was introduced.

Law: IT07 s [RC 26](#)

Last reviewed on 31 December 2025

Voluntary payments of provisional tax [¶22-130]

[¶22-130]

[Click to open document in a browser](#)

A person may at any time make voluntary payments of an amount of provisional tax that:

- # relates to their income tax liability for a tax year in which they are not liable for provisional tax, or
- # is more than the provisional tax payable by them for the tax year, or
- # is more than the income tax payable by them for the tax year.

A taxpayer may make a voluntary payment to reduce exposure to use of money interest charges when there is a known tax shortfall. In addition, individuals whose residual income tax is under \$60,000 may make a voluntary payment to reduce their terminal tax liability without filing a formal estimation (with IR) that would bring them within the use of money interest provisions ([¶22-352](#)).

Law: IT07 ss [RA 2](#), [RC 12](#)

Last reviewed on 31 December 2025

Refund and transfer of overpaid provisional tax [¶22-140]

[¶22-140]

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Refund

Provisional tax must be refunded by the Commissioner if:

- # provisional tax has been paid in excess, because the amount of provisional tax payable for a tax year is reduced by the taxpayer or by the Commissioner under s [119\(2\)](#) of the TAA, or
- # the residual income tax (RIT) of a provisional taxpayer for a tax year is not more than \$5,000, and the taxpayer has already paid instalments of provisional tax (other than the final instalment) for the next succeeding tax year.

In both cases, the taxpayer must apply for a refund of the excess provisional tax paid.

Before the refund is made, the excess amount paid is first applied by the Commissioner in payment of any outstanding income tax for any earlier tax year, in accordance with the provisional taxpayer's or their agent's request under s [173T](#) of the TAA. If any excess remains this will be refunded to the provisional taxpayer ([¶12-148](#)).

Under s [RM 12](#) when an overpayment or amount of provisional tax for a tax year has been applied or refunded, a later instalment is calculated as if the total instalments previously payable were reduced by the amount of the overpayment or amount. From the date of refund or credit, the overpayment or amount applied or refunded is deemed not to be provisional tax paid for that tax year.

For discussion on the Commissioner's obligation to pay use of money interest on refunds of provisional tax, see [¶22-350](#).

Refunds of overpaid AIM instalments

Taxpayers adopting the AIM can request a refund of overpaid provisional tax payments from the Commissioner. The Commissioner must refund amounts of overpaid AIM provisional tax throughout the income year where the AIM payments to date exceed the AIM calculation of provisional tax liability, provided the taxpayer has provided all required information. An AIM taxpayer can only request a refund of actual provisional tax paid in the current year. No use-of-money interest will be payable by the Commissioner on overpaid AIM provisional tax. The Commissioner is also not able to refuse to refund amounts owing under AIM due to an outstanding tax liability in another area such as PAYE or GST.

For a discussion of the ability of an AIM taxpaying company to transfer overpaid provisional tax to its shareholders to meet their provisional tax liabilities, see [¶22-090](#).

Transfers

The amount of overpaid provisional tax that can be transferred is determined by formulas set out in ss [173P–173R](#) of the TAA. The formulas apply to transfers within a taxpayer's own account and transfers between "related" taxpayers as set out in s [173M\(2\)\(a\)–\(f\)](#) and [\(3\)](#) (for a summary of these parties see [¶12-148](#)). In each case, the provisional tax must be overpaid on the date on which the request for transfer is actioned. Also, for transfers of overpaid provisional tax prior to assessment, only a temporary transfer is allowed if, as a result of the transfer, the taxpayer would not be able to meet a subsequent provisional tax liability for the tax year.

Overpaid provisional tax determined before assessment for standard uplift payers

For taxpayers who pay provisional tax on the standard uplift basis, the amount of provisional tax that can be transferred on a particular date (date A) is calculated as follows (s [173P\(2\)](#)):

$$\text{provisional tax paid} \# \text{refunds} \# \text{provisional tax liability}$$

where:

provisional tax paid is the provisional tax paid for a tax year on or before date A (this includes any voluntary payments of provisional tax and tax transferred to the taxpayer)

refunds are provisional tax refunds paid to the taxpayer on or before date A (this includes any tax transferred by the taxpayer or offset by the Commissioner against unpaid tax), and

provisional tax liability is the provisional tax payable by date A.

Example:

Sue is a standard balance date taxpayer. Her provisional tax liability for the 20X3–X4 tax year, calculated on the uplift basis, is \$45,000 (ie \$15,000 is due on each instalment date). On 28 August 20X3 Sue pays provisional tax of \$20,000 and, on 15 January 20X4 a payment of \$15,000 is made. On 20 February 20X4, Sue's accountant writes to the IR and requests a transfer of the overpaid provisional tax to Sue's PAYE account. No tax refunds, offsets or other tax transfers have been made to or from Sue's tax account at the time at which the request is made. The amount of provisional tax available to be transferred is calculated as follows:

$$\text{provisional tax paid} \# \text{refunds} \# \text{provisional tax liability}$$

$$= (\$20,000 + \$15,000) \# 0 \# (\$15,000 + \$15,000)$$

$$= \$35,000 \# \$30,000$$

$$= \$5,000.$$

The transfer of \$5,000 will be allowed as Sue has still satisfied her provisional tax obligations up to the date on which the transfer is actioned (ie 20 February 20X4). The third instalment date has not yet passed, and it is assumed that this instalment will be paid on 7 May 20X4.

Example:

Magenta is a standard balance date taxpayer. Her provisional tax liability for the 20X3–X4 tax year, calculated on the uplift basis, is \$45,000 (ie \$15,000 is due on each instalment date). On 28 August 20X3 Magenta pays provisional tax of \$40,000 and no payment is made on 15 January 20X4. On 20 February 20X4, Magenta's accountant writes to IR and requests a transfer of the maximum amount of overpaid provisional tax available at 28 August 20X3 to Magenta's PAYE account. No tax refunds, offsets or other tax transfers have been made to or from Magenta's tax account at the time at which the request is made. The amount of provisional tax available to be transferred is calculated as follows:

$$\text{provisional tax paid} \# \text{refunds} \# \text{provisional tax liability}$$

	28 August 20X3	15 January 20X4
	\$	\$
provisional tax paid	40,000	40,000
less refunds	0	25,000
less provisional tax liability	15,000	30,000
provisional tax overpaid	25,000	(15,000)

The amount of provisional tax available to be transferred at 28 August 20X3 is restricted to \$10,000 (\$25,000 # \$15,000). If a greater amount is transferred, Magenta will not have met her provisional tax liability on 15 January 20X4. However, a temporary transfer of a greater amount will be allowed if sufficient funds are transferred back at 15 January 20X4 to meet her provisional tax liability on that date. See s [173P\(3\)](#).

Overpaid provisional tax determined before assessment for estimators

For a taxpayer who estimates provisional tax or at first pays provisional tax on the uplift basis and then estimates, the amount of overpaid provisional tax available for transfer on a particular date (date A) is calculated as follows (s [173Q\(2\)](#)):

$$\text{provisional tax paid} \# \text{refunds} \# \text{estimated RIT}$$

where:

provisional tax paid is the provisional tax paid for a tax year on or before date A (this includes any voluntary payments of provisional tax and tax transferred to the taxpayer)

refunds are provisional tax refunds paid to the taxpayer on or before date A (this includes any tax transferred by the taxpayer or offset by the Commissioner against unpaid tax), and

estimated RIT is the estimated RIT or revised estimated RIT due by date A for the purpose of calculating use of money interest, calculated as if the estimated or revised estimated RIT were RIT and the “safe harbour” provisions in s [120KE\(1\)](#) of the TAA did not apply.

In addition to the requirement for the estimating provisional taxpayer to be able to meet their provisional tax liability after the transfer, the maximum amount that can be transferred is the net provisional tax paid (ie the tax paid less refunds of that tax) less the revised estimated or estimated RIT for the tax year (s [173Q\(4\)](#)).

Example:

Bill is a standard balance date taxpayer. He estimates his 20X3–X4 RIT at \$300,000 and makes a payment of \$100,000 on 28 August 20X3 on this basis. On 15 January 20X4 Bill revises his estimate to \$250,000 and makes a payment of \$75,000. On 7 May 20X4 it is clear that Bill’s RIT for the 20X3–X4 tax year is more likely to be \$150,000. A revised estimate for this amount is filed with IR and no further provisional tax payments are made. Bill makes a request for the transfer of the excess provisional tax paid to his wife at the earliest date available. No tax refunds, offsets or other tax transfers have been made to or from Bill’s tax account at the time at which the request is made. The amount that can be transferred at 28 August 20X3 is calculated as follows:

provisional tax paid # refunds # estimated RIT.

A total of \$25,000 is available for transfer (being provisional tax paid of \$175,000 # revised estimated RIT of \$150,000).

	28 August 20X3	15 January 20X4	7 May 20X4
	\$	\$	\$
provisional tax paid	100,000	175,000	175,000
less refunds	0	25,000	25,000
less estimated RIT	50,000	100,000	150,000
provisional tax overpaid	50,000 ¹	50,000	0

¹ Although the amount of \$50,000 is calculated under the formula as being available for transfer at 28 August 20X3, the amount is restricted to \$25,000, being the net provisional tax paid of \$175,000 less the revised estimated RIT for 20X3–X4 of \$150,000. See s [173Q\(4\)](#). The full amount of \$25,000 can be transferred at 28 August 20X3 as after the transfer Bill has met his estimated provisional tax liability for the 20X3–X4 tax year. See s [173Q\(3\)](#).

Overpaid provisional tax determined after assessment (standard uplift payers and estimators)

Once a taxpayer’s RIT for the year has been assessed, the amount of overpaid provisional tax available for transfer on a particular date (date A) is calculated as follows (s [173R\(2\)](#)):

provisional tax paid # refunds # residual income tax

where:

provisional tax paid is the provisional tax paid for a tax year on or before date A (this includes any voluntary payments of provisional tax and tax transferred to the taxpayer)

refunds are provisional tax refunds paid to the taxpayer on or before date A (this includes any tax transferred by the taxpayer or offset by the Commissioner against unpaid tax), and

residual income tax is the taxpayer’s RIT that would be due by date A for the purpose of calculating use of money interest, calculated as if the “safe harbour” provisions in s [120KE\(1\)](#) of the TAA did not apply.

An amount may not be transferred if, as a result, the taxpayer would be liable to pay interest on unpaid tax or would have a late payment penalty imposed in respect of their provisional tax payments for the tax year

on a date that is later than the date of transfer. This situation would arise if there was a refund or transfer of provisional tax after the date of transfer or if provisional tax for the year was prepaid by the date of transfer. However, a temporary transfer is allowed, ie the taxpayer must request a transfer back to their account to prevent the interest or late payment penalty being imposed (s [173R\(3\)](#)).

Also, the amount transferred may not be more than the net provisional tax paid for a tax year less the RIT for the year (s [173R\(4\)](#)).

Example:

Colin is a standard balance date taxpayer and pays 20X3–X4 provisional tax on the uplift basis. He pays \$20,000 on 28 August 20X3 and a further \$20,000 on 15 January 20X4 but does not make a payment on 7 May 20X4. Colin's 20X2–X3 RIT is assessed at \$15,000. His accountant requests a transfer of Colin's overpaid 20X3–X4 provisional tax to a company in which Colin is a shareholder-employee at the earliest possible date. No tax refunds, offsets or other tax transfers have been made to or from Colin's tax account at the time at which the request is made. The amount of overpaid provisional tax available for transfer is calculated as follows:

provisional tax paid # refunds # residual income tax

A total of \$25,000 is available for transfer (being provisional tax paid of \$40,000 # RIT of \$15,000).

	28 August 20X3	15 January 20X4	7 May 20X4
	\$	\$	\$
provisional tax paid	20,000	40,000	40,000
less refunds	0	15,000	25,000
less RIT	5,000	10,000	15,000
provisional tax overpaid	15,000 ¹	15,000 ²	0

¹ The amount of \$15,000 is calculated under the formula as being available for transfer at 28 August 20X3. This amount can be transferred (reflected as "refunds" in the 15 January 20X4 column).

² Although the amount of \$15,000 is calculated under the formula as being available for transfer at 15 January 20X4, this amount cannot be transferred. This is because to do so, the total amount transferred in the tax year will exceed the total amount of provisional tax overpaid for the 20X3–X4 tax year. The amount transferred at 15 January 20X4 will be restricted to \$10,000. See s [173R\(4\)](#).

Law: IT07 ss [RM 6B](#), [RM 12](#); TAA ss [119\(2\)](#), [173P–173R](#), [173T](#)

Last reviewed on 31 December 2025

Using GST refund to pay provisional tax [¶22-145]

[¶22-145]

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If a provisional taxpayer has a GST refund taxable period, they may choose to use the refund to pay some or all of an instalment of provisional tax due on the same instalment date. The GST return allows the taxpayer to transfer all or part of a GST refund to offset a provisional tax payment.

Note that if a taxpayer elects to use some or all of their GST refund to pay their provisional tax, and the Commissioner makes an amended assessment that reduces the amount of the refund, then the reduced amount will be the amount of the payment of provisional tax.

Law: IT07 s [RM 11](#)

Last reviewed on 31 December 2025

Penalties and interest for unpaid provisional tax [¶22-200]

[¶22-200]

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Late payment penalties

Late payment penalties and use of money interest apply to underpaid instalments of provisional tax.

An initial late payment penalty of 1% is applied to the amount of the unpaid tax from the day after the due date for payment. A further initial late payment penalty of 4% is charged if the tax remains unpaid 7 days after the due date (ie the additional 4% penalty is imposed on the 8th day after the due date).

Each additional penalty is applied on a compounding basis, ie it is imposed on any unpaid provisional tax plus any late payment penalties that have been imposed in respect of that unpaid tax. Section [139B\(6\)](#) defines the term “tax to pay” as meaning an amount equal to the unpaid tax together with any late payment penalty that has been imposed in whole or in part in respect of the unpaid tax, to the extent that at that time the amount remains unpaid. The unpaid tax is deemed to be the last part of any tax to pay that a taxpayer pays.

“Unpaid tax” includes an amount of tax that must be withheld or deducted and paid to the Commissioner under a tax law but does not include a late payment penalty or a shortfall penalty imposed under s [141ED](#) for not paying employer monthly schedule amount.

A late payment penalty will only arise on unpaid provisional tax to the extent that the provisional tax payable exceeds the provisional tax paid (s [139C\(1\)](#)). The terms “provisional tax payable” and “provisional tax paid” are defined in s [139C\(2\)](#).

Use of GST refund

An exception to the above is where a person elects that an amount of a GST refund be used to pay an amount of provisional tax due on an instalment date, and the Commissioner reassesses the amount of the GST refund as being less than the elected amount. In that case the taxpayer will not be liable for a late payment penalty in relation to the amount of any shortfall in their payment of provisional tax as a result of the reassessment until 30 days after the Commissioner gives notice of the reassessment or a later date set by the Commissioner (s [139C\(1B\)](#) and [\(1C\)](#)).

Interest concession provisional taxpayers

Another exception to the above is if the person is an interest concession provisional taxpayer ([¶22-352](#)). In that case, the amount of unpaid tax for a failed instalment that the late payment penalty may be applied to is limited to the lowest of the following amounts:

- # the standard instalment amount due minus the amount actually paid, or
- # one-third (or one divided by the number of instalments if the number is not 3) of the taxpayer's residual income tax minus the amount actually paid (ss [120KBB\(3\)\(b\)](#), [139C\(1D\)](#) and [139C\(1E\)](#)).

Accounting income method

Late payment penalties may apply to payments of provisional tax under the AIM approach. Shortfall penalties for lack of reasonable care may also apply if there is a large variation between provisional tax payments under AIM and a taxpayer's year-end terminal tax liability. The definition of “tax position” includes the use of the AIM approach and the software product of an approved AIM provider. However, s [141B\(1E\)](#) ensures that a taxpayer does not take an unacceptable tax position by merely using the AIM approach and an approved AIM-capable accounting system. This does not apply to large taxpayers with annual gross incomes exceeding \$5 million or taxpayers that use a large business AIM-capable system (s [141B\(1F\)](#)).

Use of money interest

Use of money interest also applies from the day after the first provisional tax payment is due if the taxpayer is not a safe-harbour taxpayer or an interest concession provisional taxpayer. Use of money interest generally runs from the last instalment date for interest concession provisional taxpayers. Safe-harbour taxpayers are not liable for use of money interest on unpaid provisional tax but will be subject to use of money interest in respect of unpaid terminal tax. For a full discussion of use of money interest, see [¶22-352](#).

Remission or cancellation

Late payment penalties will not be charged if the unpaid tax does not exceed \$100 (s [183F](#) of the TAA).

For discussion on the remission of the 4% initial late payment penalty and the 1% incremental late payment penalty, see [¶14-180](#).

Use of money interest may also be cancelled in terms of ss [183C](#) and [183E](#) of the TAA. See [¶22-355](#).

[SPS 18/04](#): “Options for relief from tax debt” summarises the Commissioner’s practice when considering options for removing or deferring the obligation to pay tax, interest and/or penalties.

Law: TAA ss [139B](#), [139BA](#), [139C](#), [141B\(1E\)](#), [\(1F\)](#), [183F](#)

Last reviewed on 31 December 2025

Offsets of provisional tax within wholly-owned group [¶22-220]

[¶22-220]

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Wholly-owned groups of companies are eligible to offset overestimates of provisional tax between members of the group. Any allocation of excess payments of provisional tax must be taken into account when applying the UOMI provisions under Pt 7 of the TAA.

Provisional tax overpaid by one company (company A) within a wholly-owned group may be transferred against the underpaid provisional tax by another member of that group (company B). Company A must notify the Commissioner and specify the date on which the excess amount is deemed to be allocated to company B. This notice must be given to the Commissioner within the time for which the income tax return for company B is required to be furnished, or within such further time as the Commissioner may allow. The allocation cannot be earlier than the day on which the overpayment occurred or the first instalment date of company B, whichever is the later.

The allocation is subject to the limit on refunds of tax not being allowed to exceed the company's imputation credit account balance ([¶17-105](#)).

Also see [¶22-140](#) regarding transfers of overpaid provisional tax.

Law: IT07 s [RC 32](#)

Last reviewed on 31 December 2025

Offset of further income tax [¶22-225]

[¶22-225]

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A company will have further income tax to pay where it is an imputation credit account (ICA) company and has a debit balance in its ICA at the end of any imputation year or where there is a debit balance in the company's ICA immediately before the company ceases to be an ICA company. The payment of any instalment of provisional tax for which the company may become liable after the date of the payment of the further income tax may, on the election of the company, be satisfied by the amount of further income tax.

The Commissioner must credit the amount of the further income tax in payment successively to amounts of provisional tax until the credit is extinguished (s [RC 35\(3\)](#)).

Under s [RC 35\(2\)](#) the amount is deemed to have been paid on the date on which the instalment so credited was due and payable.

Example

At 31 March 20X4 Big White Co Ltd has a \$4,000 debit in its ICA. On 30 June 20X4 Big White pays \$4,400, made up of \$4,000 of further income tax and \$400 of imputation penalty tax. Big White's first instalment of provisional tax of \$6,000 for 20X4–X5 is due on 28 August 20X4. Big White can offset the \$4,000 further income tax paid against the first instalment amount due and will only be required to pay the difference of \$2,000 on 28 August 20X4.

Law: IT07 ss [OB 69](#), [RC 35](#)

Last reviewed on 31 December 2025

Offset of provisional tax on application of the personal attribution rules [¶22-227]

[¶22-227]

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Generally, s [RC 34](#) allows for the transfer of provisional tax overpaid when personal services income may be attributed under s [GB 27](#) ([¶133-345](#)). The overpaid provisional tax may be transferred from the interposed entity to the individual and vice versa. The amounts transferred will be treated as provisional tax paid by the transferee/recipient (not the transferor/donor) for the purposes of the provisional tax rules and use of money interest provisions (s [RC 34\(6\)](#)).

In accordance with s [RC 34\(4\)](#) the transfer can be made only on or after the later of:

- # the day on which the excess provisional tax is paid, and
- # the day on which the instalment of provisional tax is due and payable by the person (if the entity is making the transfer) or the entity (if the person is making the transfer).

The transfer must be made by notice to the Commissioner within the time allowed for furnishing the transferee's tax return, or within such time as the Commissioner may allow. The notice must state (s [RC 34\(5\)](#)):

- # the person to whom the transfer is made
- # the amount of the transfer, and
- # the date on which the transfer is allocated.

Law: IT07 s [RC 34](#)

Last reviewed on 31 December 2025

Allowance for provisional tax paid by agent [¶22-230]

[¶22-230]

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A person receives a tax credit for a tax year equal to the amount of provisional tax for the tax year paid by an agent of the person, if the agent is liable to pay provisional tax on behalf of the person.

Law: IT07 s [LB 2](#)

Last reviewed on 31 December 2025

Payment of terminal tax [¶22-235]

[¶22-235]

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If a person's income tax liability is more than the total of their credits, the difference is the person's terminal tax. The person must pay the terminal tax to complete the satisfaction of their income tax liability (s [BC 8](#)). Terminal tax must generally be paid by the 7th day of the month specified in [Sch 3, pt A](#), column G except where the terminal tax is due in January, in which case it will be due and payable on 15 January (s [RA 13](#)).

If the taxpayer has a tax agent with an extension of time arrangement, they have an additional 2 months to pay their terminal tax ([Sch 3, pt A](#), column H). This extension of time applies to all taxpayers who have a tax agent, not just those taxpayers who are provisional taxpayers.

Law: IT07 ss [BC 8](#), [RA 3](#), [RA 13](#), [RB 1](#)

Last reviewed on 31 December 2025

Provisional tax to be credited in payment of income tax [¶22-240]

[¶22-240]

[Click to open document in a browser](#)

Provisional tax is to be credited in payment of income tax and is subject to the same treatment as income tax in relation to overpayments.

Law: IT07 ss [LA 6](#), [LB 2](#)

Last reviewed on 31 December 2025

Use of money interest and provisional tax overview [¶22-350]

[¶22-350]

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Use of money interest applies to any underpayment or overpayment of provisional tax on each of the applicable instalment dates, and in addition to any late payment penalty that may apply.

Use of money interest generally runs from the first instalment date, except in the case of safe-harbour taxpayers and interest concession provisional taxpayers. Use of money interest generally runs from the last instalment date for interest concession provisional taxpayers.

Use of money interest does not apply to AIM provisional taxpayers.

Interest rates are set by Order in Council, amending the Taxation (Use of Money Interest Rates) Regulations 1998. See rates listed at [¶50-083](#).

From 16 January 2026 the interest rate charged by IR on unpaid tax is 8.97%. The rate for overpayments of tax is 2.25%.

Last reviewed on 31 December 2025

Use of money interest (UOMI) [¶22-352]

[¶22-352]

[Click to open document in a browser](#)

Use of money interest applies to all provisional taxpayers (except new provisional taxpayers, safe-harbour taxpayers, interest concession provisional taxpayers, and AIM provisional taxpayers) from their first provisional tax instalment date. Use of money interest also applies to new provisional taxpayers from their first instalment date after the first business day in terms of s [RC 9\(9\)](#) (unless the instalment is in a transitional year: see below).

Note that a new provisional taxpayer is defined in the TAA as a person who has an initial provisional tax liability as described in s [YA 1](#) (¶22-115).

For the current interest rates, see [¶50-083](#).

Interest concession provisional taxpayers

For most standard method provisional taxpayers, use of money interest will only apply from the date of the final instalment of provisional tax. Because the last instalment date falls after a taxpayer's balance date, it is expected that a taxpayer should be able to make a payment at the third instalment date that covers their residual income tax for the year and they will therefore have no use of money interest charge for the year.

Example:

Wooley Shearers Limited (Wooley) provides shearing services to farmers. The company has difficulty estimating its provisional tax for the year as it charges by the weight of the wool and the amount of income derived depends on the growing rate of the sheep. In the 2017 income year, Wooley has residual income tax of \$260,000. Wooley has filed its 2017 tax return prior to the first instalment of provisional tax and decides to pay its 2018 provisional tax using the standard method. This will require it to pay 3 instalments of \$91,000, which it does on the respective dates. However, because of ideal wool-growing conditions, Wooley has a standout 2018 year and at the end of the year Wooley calculates its residual income tax as \$390,000. This means that Wooley should have paid instalments of \$130,000.

Under the old rules, Wooley will be charged UOMI on the difference between the instalments calculated by reference to its residual income tax and what it paid, being \$39,000 (\$130,000 # \$91,000) for each instalment until the amount of the underlying tax and UOMI is paid.

However, the new rules in s [120KBB](#) will apply to Wooley because it paid its first 2 instalments based on the standard method on time, and assuming all the other requirements of s [120KBB](#) are met. UOMI will still apply to Wooley because it has underpaid its tax at the final instalment date. However, it will only apply from that date on the difference between Wooley's residual income tax for the year and the amount paid to the final instalment date. This means UOMI will be charged on \$117,000, being the difference between \$390,000 and \$273,000, from the final instalment date until the underlying tax and applicable UOMI is paid.

Example based on examples in *Tax Information Bulletin* [¶294-104 Vol 29, No 4](#), May 2017 at 39–40.

When a taxpayer pays all of the required instalments under the standard method for the tax year (other than the last one) on or before the relevant instalment date, the amount of their residual income tax for that year less the amount already paid will be due on the last instalment date for that year. Use of money interest will therefore only apply on that amount from the final instalment date until the tax and any applicable UOMI are paid. If the amount is paid on the final instalment date, no use of money interest will be payable.

Example:

Wooley again uses the standard method in the 2019 income year and under that method is required to make 3 instalments of \$136,500 ((105% of \$390,000)/3). It makes the first two instalments on time but just before the due date for the third instalment Wooley calculates that it has had another spectacular year and its residual tax liability for the year is actually \$650,000. This means it should have made instalments of \$216,667. Wooley decides not to pay the final instalment based on the standard method amount but rather makes a payment based on its estimate of its final tax liability for the year. Wooley makes a payment of \$377,000 on the due date for the final instalment.

When Wooley completes its tax return for the 2019 year it calculates its final tax liability for the year as \$655,000. As Wooley has underpaid its tax for the 2019 income year it will be charged UOMI. Because Wooley has made all its instalments (other than the

final instalment) using the standard method, and assuming all the other requirements of s [120KBB](#) are complied with, Wooley will only be charged UOMI from the date of the final instalment until the tax and any UOMI is paid on \$5,000, being the difference between Wooley's residual income tax and the amount paid (\$655,000 # 600,000).

Example from *Tax Information Bulletin* [¶294-104 Vol 29, No 4](#), May 2017 at 40.

When a taxpayer fails to pay any of the required instalments under the standard method for the tax year (other than the last one) on or before the relevant instalment date, interest will apply to the failed instalment. Use of money interest will apply on the lowest of the following amounts:

- # the standard instalment amount due minus the amount actually paid, or
- # one-third (or one divided by the number of instalments if the number is not 3) of the taxpayer's residual income tax minus the amount actually paid.

Example:

Thomas Water Finders Limited (TWFL) is a consulting firm that provides consulting services to the agricultural sector in the use of beavers to assist in water irrigation for farmers in drought affected areas. TWFL has a March balance date. As beavers are not yet permitted into New Zealand, a lot of TWFL's time is spent lobbying the Government to permit the introduction of beavers to New Zealand. Once the Government permits introduction of the rodents to New Zealand TWFL expects its income earning to skyrocket as farmers see the benefits that using beavers as natural irrigators can have, based on experience in Nevada where beavers are used to provide natural irrigation.

In the 2018 income year TWFL had residual income tax liability of \$55,000. Because of the uncertainty of the future of this innovative irrigation method, TWFL decides to use the standard method to pay provisional tax for the 2019 income year. It calculates it is required to make three instalments of \$19,250 ($(105\% \times \$55,000)/3$). TWFL pays its first instalment on time but between the first and second instalment dates the Government approves the introduction of beavers for irrigation schemes in New Zealand and TWFL's workload increases dramatically. Because of this TWFL forgets to make its second provisional tax instalment.

At the date of the third instalment, TWFL realises it has missed the second instalment and also calculates that because of the massive increase in consulting revenue its year-end tax liability is expected to be \$1,250,000. TWFL want to minimise the impact of UOMI and so, on the final instalment date, the company makes a payment of \$1,231,239 based on the estimate of its final tax liability. This is made up of the tax owing of \$1,230,750 and \$489 for UOMI on the second instalment.

When it completes its tax return, TWFL calculates its final tax liability as \$1,250,000, as it expected. Because TWFL did not make its second instalment on time it cannot use the concessionary rule in s [120KBB\(2\)](#) for the missed instalment but instead must use the rule in s [120KBB\(3\)](#) in relation to the missed instalment.

This will require the company to pay UOMI on the lesser of:

- (a) 1 divided by the number of instalment dates for the income year multiplied by its residual income tax less the amount paid in relation to the instalment ($(1/3 \times \$1,250,000) - 0 = \$416,667$); or
- (b) the amount the company is liable to pay in accordance with the standard method for that particular instalment (\$19,250).

The lesser of these amounts being (b), TWFL will be charged UOMI on \$19,250 from the due date of the second instalment until the date that the tax and applicable UOMI is paid, which was the date of the third instalment, being \$489. TWFL may also be subject to late payment penalties.

Example from *Tax Information Bulletin* [¶294-104 Vol 29, No 4](#), May 2017 at 41.

Where, during an income year, a taxpayer has instalments they pay and a failed instalment, the result will be that no UOMI will apply to the non-failed instalments, but it will apply to the failed instalment.

Where the rule in s [120KBB](#) applies, the Commissioner is also not liable to pay use of money interest on overpayments before the final instalment date.

Example:

Mack Limited is a manufacturer of raincoats. Mack has historically had a very seasonal business in that it tends to sell more raincoats during the winter months, but due to climate change the demand for raincoats is extremely unpredictable, which makes estimating the income of the company very difficult. Mack has been using the standard method as the owner, Steve, finds it is the best estimation of income that he can make because of this unpredictability. However, even using the standard method Steve often finds that Mack ends up paying or receiving UOMI because of its residual income tax not matching with the standard method payments. Steve thinks the changes to s [120KBB](#) will help Mack as it will ensure there is no exposure to UOMI.

In the 2017 year, Mack has residual income tax of \$847,000. It has not filed its 2018 return as yet so calculates its 2019 provisional tax based on 110% of the 2017 residual income tax. This means Mack must make three instalments of \$310,567 under the standard uplift.

Mack makes the first two instalments on that basis on time. When it gets to the third instalment Steve has a good idea of what the final residual income tax for Mack will be for the year. Unfortunately, Mack has not had a good year, with rainfall at an all-time low. Steve calculates the residual income tax for Mack at the final instalment date to be \$250,000. This means Mack has overpaid its provisional tax for the year. At the final instalment date Mack estimates its provisional tax liability to be \$250,000. It also requests a refund of the overpaid provisional tax from Inland Revenue, which it receives two months after the final instalment date.

When Mack files its 2019 income tax return the final residual income tax liability is \$250,000. It is assumed that Mack meets all the other requirements of s [120KBB](#). Because Mack paid its total residual income tax by the final instalment date, no UOMI would be payable by Mack. In addition, although to the third instalment date Mack has overpaid its tax for the year, it will only receive credit UOMI from the final instalment date until the date the amount of the overpayment is refunded (that is, two months after the final instalment date).

Example from *Tax Information Bulletin* [¶294-104 Vol 29, No 4](#), May 2017 at 45.

Criteria to use concessionary interest rule

To be able to use the new calculation rules:

- # the taxpayer must not be a safe-harbour taxpayer (see below)
- # the taxpayer must be an “[interest concession provisional taxpayer](#)” (being a person liable to pay provisional tax who uses one of the standard uplift methods, or, prior to 1 April 2019, who used the estimation method for the last instalment but a standard uplift method for earlier instalments)
- # all “[provisional tax associates](#)” are either:
 - # interest concession provisional taxpayers
 - # use the GST ratio method to calculate provisional tax, or
 - # use the estimation method and have elected to carry back a loss under s [1Z 8](#), and
 - # there must be no [provisional tax interest avoidance arrangement](#).

A provisional tax associate for these purposes will be, for person A:

- # if person A is a company, another company in the same wholly-owned group of companies, or another person that has a voting interest or market value interest in person A of 50% or more
- # if person A is not a company or is a company acting as a trustee, another person who is associated with person A, treating s [YB 3](#) of the IT07 as requiring 50% voting interests and market value interests instead of 25%.

In both cases, the aggregation rules in s [YB 3\(3\)](#) and [\(4\)](#) will be ignored. Note that the definition of [provisional tax associate](#) does not apply to 2 natural persons.

The definition will essentially capture wholly-owned group companies and those who have, directly or indirectly, a 50% or greater share in a company.

A “provisional tax interest avoidance arrangement” means an arrangement involving the manipulation of one or more amounts of residual income tax, including a zero amount of residual income tax, with the purpose or effect of defeating the intent and application of the interest provisions.

AIM provisional taxpayers

Taxpayers who adopt the AIM for calculating provisional tax are generally not liable for use of money interest. Provided they have made the payments as calculated by their AIM-capable accounting system, they will not have any use of money interest exposure should the year-end residual income tax result in a different tax liability. If a taxpayer pays less than what the AIM-capable accounting system calculates, then use of money interest will be imposed between the time of underpayment and terminal tax date.

These rules apply providing the taxpayer has not engaged in a provisional tax interest avoidance arrangement. It is expected that taxpayers who use AIM will either no longer have terminal tax liabilities (as their tax payments will be made in near real-time, and based on actual results), or have very small variations to their tax liability for the year.

Note that no interest is payable by the Commissioner on any refunds of overpayments of AIM instalments. See s [120VB](#) of the TAA.

Safe-harbour taxpayer

Note: From 30 March 2022, there is a change to the safe-harbour rules in s [120KE](#). Eligible provisional taxpayers no longer have to pay in full and on time to access the safe-harbour concession. Section [120KF](#) is also consequentially repealed, as the tolerance provided in that section for underpaying provisional tax instalments by \$20 or less is no longer necessary.

The amendments ensure taxpayers retain the safe-harbour concession (no UOMI is payable), even if they miss a payment, until their terminal tax date. However, late payment penalties will still apply to any underpayments (s [120KE\(1\)](#) and [\(2\)](#) of the TAA).

Standard method provisional taxpayers

To qualify for the safe harbour a taxpayer (including non-individuals) must satisfy the following requirements:

- # have paid the instalments required under the standard method for the tax year or have no obligation to pay provisional tax for the year because their RIT for the preceding year was \$5,000 or less
- # have current year RIT of less than \$60,000
- # have not estimated their RIT or used a GST ratio, and
- # not have a provisional tax interest avoidance arrangement.

The taxpayer's residual income tax will then be due and payable in one instalment on their terminal tax date.

Example:

Leroy is a provisional taxpayer for the 2018 income year who uses the standard method. He is required to make 3 instalments of \$10,000 during the year, which he does on the applicable due dates. When Leroy completes his tax return he discovers that his residual income tax for the year is \$57,000. He has underpaid his provisional tax for the year. However, because Leroy has paid all 3 instalments on the due dates, his residual income tax is less than \$60,000, he has not estimated or used the GST ratio method and there is no provisional tax avoidance arrangement in relation to Leroy, s [120KE\(1\)](#) will deem his residual income tax to be due and payable in one instalment on his terminal tax date. He will not have any UOMI exposure until that date.

Example:

Shoshanna is a provisional taxpayer for the 2018 income year. Under the standard method she is required to make three instalments of \$10,000 on 28 August 2017, 15 January 2018 and 7 May 2018. She makes the following payments during the year:

28 August 2017 — \$9,000
15 January 2018 — \$8,000
7 May 2018 — \$28,000.

When she completes her tax return for the year Shoshanna calculates she has a residual income tax of \$45,000. Because Shoshanna did not make the required payments under the standard method on the instalment dates, she is not able to use the safe harbour and will be subject to UOMI and may also be subject to late payment penalties on the same basis.

Examples from *Tax Information Bulletin* [¶294-104 Vol 29, No 4](#), May 2017 at 46–47.

GST ratio method provisional taxpayers

In addition, a GST ratio method provisional taxpayer who applies the GST ratio to determine their provisional tax payments for the whole year will be safe-harboured from use of money interest if their provisional tax payments fall short of the year-end liability. See s [120KE\(3\)](#) and [\(4\)](#). If the taxpayer elects out of the GST ratio method after the first instalment, they will be required to estimate their provisional tax liability and will be subject to use of money interest.

No entitlement to interest

Note that neither a safe-harbour taxpayer nor a GST ratio method provisional taxpayer will be entitled to receive use of money interest if they overpay provisional tax during the year.

Transitional year

In a transitional year ([¶22-120](#)), interest applies to any unpaid tax in relation to the instalments payable in the months set out in [Sch 3, pt B \(¶22-012\)](#). The date interest starts is the day after the day on which payment of the instalment is due under s [RC 21](#). The amount of each instalment is the proportion that the instalment period bears to the length of the transitional year. The final instalment is the income tax liability for the transitional year less any amounts due on earlier instalment dates. The difference between these deemed amounts and the amounts actually paid by the taxpayer is subject to use of money interest, unless the taxpayer is a safe-harbour taxpayer and not a new provisional taxpayer. See s [120KD](#) of the TAA for statutory guidelines and an example of the interest calculation.

Voluntary payments

The provisions ensure that where a taxpayer makes a voluntary payment of provisional tax, they will receive interest from the day after the date of payment. This ensures that interest is paid even where the payment is made before the first provisional tax instalment date.

Transfer of overpaid tax

A key issue in relation to transfers of excess tax is the effective date of transfer, because the effective date has an impact on the transferee's liability for use of money interest on underpayments of tax. The tax transfer rules set out the effective date of a transfer of excess tax (which depends upon the relationship between the transferor and transferee) and remove the confusion that has previously surrounded this issue ([¶2-148](#) and [¶22-140](#)).

Tax pooling

Taxpayers may continue to pool their provisional tax payments with other taxpayers to reduce their exposure to use of money interest on underpaid tax and to increase interest on overpaid tax ([¶22-365](#)). Tax pooling cannot be used for provisional tax calculated under the accounting income method (AIM).

Death of a taxpayer

A person's death will not result in additional use of money interest being charged in the tax year in which death occurs, so long as all of the deceased's provisional and terminal tax payments are made by due date. See s [120C\(1\)](#) definition of "date interest starts" para (f).

Law: IT07 ss [RC 9\(9\)](#), [RC 18](#), [YA 1](#) ("initial provisional tax liability"); TAA ss [3\(1\)](#) ("new provisional taxpayer"), [120C](#), [120KB–120N](#), [120VB](#), [120VC](#)

Last reviewed on 31 December 2025

Application of use of money interest [¶22-354]

[¶22-354]

[Click to open document in a browser](#)

Generally, payments made by a taxpayer for a return period are applied first to the payment of accrued interest and then to unpaid tax. When there is more than one amount of unpaid tax, payments are applied to the oldest debt within a period first (s [120F](#) of the TAA). The section contains the following illustrative example:

On 1 September 2019, an assessment of \$100 tax to pay is raised for the 2018–19 tax year. This amount incurs \$5 use of money interest. On 1 September 2020, a reassessment of \$120 tax to pay is raised for the 2018–19 tax year along with an additional amount of \$3 UOMI. The taxpayer pays the balance of \$128. Payments are applied against the \$5 UOMI (ie interest on the earliest unpaid amount), then against the \$100 tax. Next, payments are applied against the \$3 UOMI on the \$20 tax to pay, then against the \$20 tax.

Note: Retrospective amendments were made in March 2020 to remove the ability for taxpayers to allocate their provisional tax payment to particular instalments and to require the Commissioner to allocate payments to the oldest outstanding provisional tax instalment (s [120L\(2\)](#)). The amendment applies from 1 April 2018 for the 2018–19 and later income years but excluding payments that have been applied before 27 June 2019 (the introduction of the relevant amending legislation).

With effect from 1 April 2020, for the purposes of s [120L](#), “provisional tax” includes late payment penalties charged in relation to the provisional tax.

Interest on overpayments of provisional tax

The Commissioner may apply interest payable to a taxpayer towards payment of the taxpayer’s unpaid tax on or after the date on which the taxpayer furnishes a tax return (s [120F\(2\)](#)).

Law: TAA ss [120F](#), [120L](#)

Last reviewed on 31 December 2025

Cancellation of interest [¶22-355]

[¶22-355]

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Use of money interest may be cancelled where a notice of assessment is issued stipulating a new due date for payment of the unpaid tax. In this case, interest may be cancelled for the period from the date of the notice until the new due date, providing the unpaid tax is paid by the date specified (s [183C\(1\)](#) of the TAA).

If the assessment is issued before the original due date for tax and stipulates interest payable for a period before the date of assessment, a 30-day grace period is allowed. During this period, the taxpayer can effectively pay the amount stated on the assessment (and any interest accumulated up to the date of the issue of the assessment) and not be charged interest. The 30-day grace period is terminated at the end of the 30 days or the due date for the tax, whichever is the earlier (s [183C\(3\)](#)).

To give taxpayers some certainty about how much they owe, interest for the period between the dates of issue of a statement of account and when the payment is made can be cancelled if the payment is made within 30 days of the statement being issued. The 30-day, interest-free grace period applies only in respect of statements of account issued after the original due date for payment of the tax to which the statement relates (s [183C\(4\)](#) and [\(5\)](#)).

When both a notice of assessment and a statement of account have been issued and the grace periods overlap, the interest for the period starting the day after the date of the notice of assessment and ending on the date of payment will be cancelled, provided payment is made within the 30-day grace period relating to the issue of the notice of assessment. For this purpose, “payment” means payment of the tax assessed and any interest payable before the date of the assessment (s [183C\(5\)](#) and [\(6\)](#)).

Use of money interest may also be cancelled in terms of s [183E](#) in cases where the underlying tax is remitted.

Standard Practice Statement [SPS 18/04](#): “Options for relief from tax debt” updated and replaced the previous statement, [SPS 15/02](#), and summarises the Commissioner’s practice when considering options for removing or deferring the obligation to pay tax, interest and/or penalties.

Amendments to s [183C](#) provide that when a taxpayer receives a statement, no UOMI will be charged between the date of the statement and the date of payment of all the tax, penalties and UOMI charged on that statement if that date is within 30 days of the issue of the statement. The only time the rule will not apply is when the liability to tax is increased, in which case the 30-day period will reset.

Emergency event interest remission

A taxpayer affected by an emergency event may ask the Commissioner for a remission of use of money interest.

The definition is based on the definition of an emergency in s 4 of the Civil Defence Emergency Management Act 2002.

Remission is permitted only if:

- # the taxpayer has sought relief, and paid the underlying tax, as soon as practicable, and
- # the Commissioner is satisfied that remission is equitable.

Law: TAA ss [3\(1\)](#), [183C](#), [183E](#)

Last reviewed on 31 December 2025

Interest on provisional tax included as income [¶22-356]

[¶22-356]

[Click to open document in a browser](#)

Interest payable by the Commissioner on overpaid provisional tax is income to the recipient ([¶15-281](#)). The Commissioner may deduct resident withholding tax from gross interest paid on overpaid tax in accordance with that regime ([¶15-040](#)). The Commissioner may also apply interest against any unpaid tax not paid by the relevant due date (s [120F](#) of the TAA and [¶22-354](#)).

Law: IT07 s [CC 8](#)

Last reviewed on 31 December 2025

Non-charging of interest on provisional tax [¶22-360]

[¶22-360]

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Taxpayers are not liable to pay late payment penalties, use of money interest or both in respect of unpaid tax of \$100 or less (s [183F\(1\)](#) of the TAA). Conversely, the Commissioner is not liable to pay interest on overpaid tax of \$100 or less.

Law: TAA s [183F](#)

Last reviewed on 31 December 2025

Provisional tax pooling [¶22-365]

[¶22-365]

[Click to open document in a browser](#)

Provisional tax pooling is intended to give taxpayers an opportunity to reduce their exposure to UOMI on underpaid tax and to increase interest received on overpaid tax.

Generally, under provisional tax pooling, taxpayers make payments to an authorised intermediary who manages underpayments and overpayments on the participating taxpayer's behalf. Actual payment of the taxpayer's provisional tax liabilities is made by the intermediary. Underpayments of tax will be offset against overpayments within the same pool. The pooling regime allows one taxpayer to pool payment with those of another taxpayer, even when the parties are not associated persons.

Compared with the UOMI rates paid or charged by IR, the intermediary should be able to pay a higher rate of interest to taxpayers who have overpaid their tax into the pool and charge a lower rate of interest to those who have underpaid their tax into the pool. In practice, the concept would seem to benefit larger taxpayers where the sums involved are higher.

AIM provisional tax payments are excluded from the tax pooling provisions. Tax pooling is intended for circumstances where a taxpayer faces uncertainty, whereas AIM is based on known amounts. Tax pooling is still available for AIM taxpayers for year-end tax disputes or terminal tax payments.

Deposits

When making a deposit to a tax pooling account, the intermediary must electronically notify IR of the name, tax file number and the amount of the deposit for each provisional taxpayer, in accordance with s [RP 18](#).

In the event these details are not supplied within 5 working days, IR is required to refund the deposit. When IR receives a deposit and the required notice, confirmation of receipt must be provided to the intermediary.

The principal amount of a payment made to an intermediary for deposit in a tax pooling account is held by the intermediary in trust for the taxpayer until the principal amount is:

- # credited to an account of the taxpayer with the Commissioner
- # credited to an account of another taxpayer with the Commissioner, that other taxpayer being a client of the intermediary
- # refunded to the taxpayer
- # transferred at the taxpayer's request to another intermediary, or
- # transferred at the intermediary's request to another intermediary.

Application of the use of money interest regime

Generally, the UOMI provisions apply to an intermediary operating a tax pooling account. A deposit in a tax pooling account is treated as tax paid by the intermediary for the purpose of calculating use of money interest. There are specific definitions of "date interest starts" and "tax paid" in calculating UOMI for these taxpayers (s [120C](#) of the TAA).

The relevant provisions are ss [120A](#), [120AA](#) and [120C–120I](#). These provisions impose interest liability on a taxpayer for underpaid tax and on IR for overpaid tax. In essence these sections apply as if the intermediary were the taxpayer (s [120OD](#) of the TAA).

UOMI on an amount deposited in a tax pooling account (with IR) accrues to the intermediary from the date of deposit to the date the deposit is refunded or there is a transfer under s [RP 19](#). The interest is payable to the intermediary on the date the deposit is credited to another account with the Commissioner or the date the deposit is refunded by the Commissioner. For the purpose of calculating this interest (and for no other purpose) the amount deposited into a tax pooling account is treated as tax paid by the intermediary: s [120OE](#) of the TAA.

A deposit transferred to an intermediary, whether at the request of the taxpayer or another intermediary, retains its pre-transfer deposit date.

Where IR is required to refund a deposit to a tax pooling account because the intermediary has not provided the requisite details for the deposit, no interest will be payable by IR on that deposit (s [120C\(1\)\(e\)](#) of the TAA).

Transfers for certain expected tax liabilities

Section [RP 19B](#) enables a taxpayer to purchase tax for expected income tax or provisional tax liabilities before a return is filed for a tax year. However, for an income tax liability, taxpayers must have filed all returns for prior years, or for a provisional tax liability, they must have met all their provisional tax obligations for the tax year, and the backdated effective date of the tax pooling transfer is limited to the tax year in which the funds are used. Any excess tax purchased may only be refunded, transferred forward to a future tax year or transferred to another tax type obligation but without backdated effect.

Use of tax pooling funds and voluntary disclosures

Funds in a tax pooling account may be used for provisional tax, other than under AIM, and terminal tax. If a person chooses to use funds to satisfy a provisional tax or terminal tax obligation, funds can also be used to satisfy the person's liability for interest on that provisional or terminal tax (s [RP 17B\(2\)\(e\)](#)).

Note that funds may also be used for an increased tax amount that arises when a previously assessed liability is increased, or arises as the result of a voluntary disclosure or audit for non-assessable tax types, for which returns were previously filed, and includes increased amounts of tax resulting from the resolution of a tax dispute that is subject to challenge proceedings, including a dispute that was stayed pending the outcome of a similar case (s [RP 17B\(3\)](#)). Funds can also be used to satisfy a person's liability for interest on an increased amount of tax (s [RP 17B\(2\)\(d\)](#)).

For the purpose of satisfying an obligation for provisional tax or terminal tax, members from the same group of companies may use tax pooling deposits made or purchased by another member of the same group (ss [RP 17B\(4\)\(c\)](#) and [\(4B\)](#)).

From 30 March 2022, tax pooled funds can also be used to satisfy a person's liability for interest on a new tax liability. The taxpayer must file a voluntary disclosure bringing the new liability to the Commissioner's attention (s [RP 17B\(12\)](#) and [\(14\)](#)). This will help taxpayers who may have unintentionally failed to file a tax return, eg when they are unaware that they are subject to a type of tax like FBT or RWT. The use of tax pooling will allow them to mitigate their UOMI exposure.

The types of tax which tax pooling can now assist has been expanded from income tax and RWT to include PAYE, ESCT, RSCT, NRWT, GST and FBT.

A voluntary disclosure regarding the new tax liability must be made within a reasonable time and the taxpayer must meet the reasonable care test. See discussion on these requirements in *Tax Information Bulletin* [1345-104 Vol 34, No 5](#), June 2022 at 33.

Time limit for transfers for provisional or terminal tax

In general, the time limit in which to complete a tax pooling purchase to meet provisional and terminal tax obligations, or interest on that provisional or terminal tax, is 75 days after the terminal tax date (s [RP 17B\(4\)\(a\)](#)).

However, the limit is 76 days after the terminal tax date if the taxpayer's balance date is at the end of October, November or December and the terminal tax date falls in a year containing a 29 February date. In addition, no time limit applies to the use of funds deposited on the taxpayer's behalf under s [RP 18](#) (the person's own funds) provided the required tax return has been filed on time (s [RP 17B\(4\)\(b\)](#) and [\(c\)](#)).

Note that the time limit to meet an obligation for an increased amount of tax, or interest on that increased amount of tax, is only 60 days from the date the Commissioner issues the notice of assessment (s [RP 17B\(5\)](#)).

Revenue types for which tax pooling can be used

The meaning of “increased amount of tax” and “deferrable tax” includes an amount relating to (ss [RP 17B\(8\)](#) and [YA 1](#) “amount of tax”):

- # tax paid or payable under the PAYE, ESCT, RSCT, RWT or NRWT rules
- # income tax, GST, FBT, further income tax and imputation penalty tax payable under s [140B](#) of the TAA.

See further at *Tax Information Bulletin* [¶238-106 Vol 23, No 8](#), October 2011 at 35.

The categories of tax that may be included in a “new liability” in terms of s [RP 17B\(12\)](#) (new liability raised under a voluntary disclosure) are income tax, further income tax, imputation penalty tax, RWT, PAYE, ESCT, RSCT, NRWT, GST and FBT (s [RP 17B\(14\)](#)).

Law: IT07 ss [RP 17–RP 21](#); TAA ss [120C](#), [120OD](#), [120OE](#), [124O–124X](#)

Last reviewed on 31 December 2025